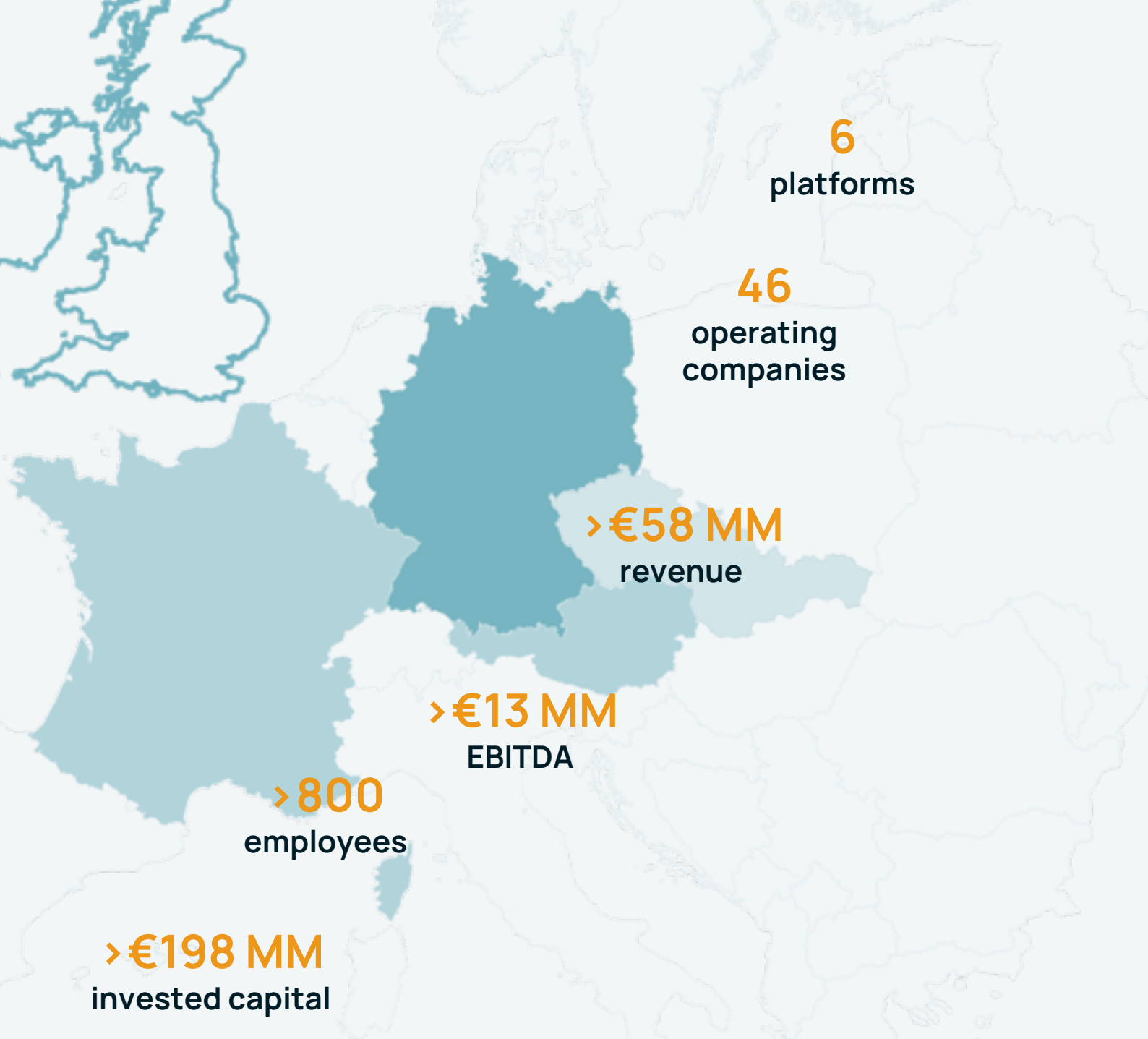


Interim Report

06
2024





6

platforms

46

operating
companies

>€58 MM

revenue

>€13 MM

EBITDA

>800

employees

>€198 MM

invested capital

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Dear shareholders,
dear friends of the company,

in the first months of 2024, we made significant strides on the way to building the **“home for mission-critical businesses”**.

Our operating model is built around empowering decentralized platforms with **autonomy**. As presented at our AGM in July 2024, we believe that autonomy requires **authority**. And authority requires **accountability**.

In March 2024, Marc Maurer joined the team of CHAPTERS Group AG as COO for Vertical Market Software. While we remain committed to operating as a decentralized organization, Marc and his team, in collaboration with the leaders of our VMS platforms, are developing a set of best practices and enhancing the level of peer accountability across the group to allow the organization to continue to scale – we call this the “Manuscript Method”.

The first months of 2024 were also marked by the evolution of our corporate structure:

- ❖ In March 2024, we became the largest shareholder of Software Circle plc. We have been a shareholder of Software Circle plc since 2023, and as Chairman of the board, CEO Jan Mohr has accompanied the evolution of Software Circle plc into a serial acquirer of exciting vertical market software businesses over the past years. The team has truly transformed the company and is creating a home for these businesses in the UK and Ireland. Software Circle plc is a valuable addition to our existing VMS platforms and aligns perfectly with our strategy of building the home for mission critical businesses.
- ❖ In June 2024, we established Altamount Software as a new platform. Anchored

around the first investment in GBS Europa GmbH, which also took place in June, Altamount is building a group focused on mission-critical cybersecurity, Governance, Risk Management and Compliance, as well as financial services software.

- ❖ In August 2024, we increased our stake in Ookam Software, our first VMS platform, from 80% to 100%. Ookam has demonstrated remarkable inorganic growth over the past five years and acquired 23 VMS companies in Germany, Austria, the Czech Republic, and Slovakia, including one in 2024. The team was strengthened with additional business unit heads, and the group has established sub-platforms in several verticals with dedicated leadership. We aim to continue Ookam's growth trajectory and further strengthen the role of the business unit heads and sub-platforms going forward.
- ❖ In September 2024, we established Waterkant Software GmbH as our second new VMS platform. With the HUP GmbH, a leading ERP software provider to the publishing and media industry, the platform already completed its first transaction.
- ❖ In October 2024, the first acquisition by the newly established Swiss platform took place. Xplain AG and its development partner in Spain, Xplain Ibérica S.L., focuses on software solutions for judicial, security and migration authorities in Switzerland.
- ❖ We also finalized the spin-off of ENTRO-Group, a subsidiary of NGC Nachfolgekapital, established with the goal of building a leading integrated group of companies for technical services in the

field of access solutions, fire protection, and security technology in German-speaking countries. After acquiring five companies in 2022 and 2023, ENTRO has secured a new partner to support its continued growth. The group will remain under the leadership of its managing directors and co-founders and will be supported by the NGC management team.

As of mid of October 2024, 45 operating companies are part of the group (excluding the eight companies that have found a new home at Software Circle plc). We are proud of the group's remarkable growth and extend our sincere thanks to the teams within both the platform and operating companies for their invaluable contributions to this success.

To continue on this path, we completed a capital increase in August 2024, raising an additional 85 million in equity. This funding enables us to further back our platforms in pursuing their inorganic growth ambitions.



We were delighted to welcome so many of you to our AGM in July 2024 in Hamburg, and we look forward to seeing you again next year. We value the personal exchange with you, dear shareholders, and we sincerely thank you for your continued support and trust in the company's development.

Sincerely,


.....
Jan-Hendrik Mohr


.....
Marlene Carl

Development of the Group and key figures

As a holding company, CHAPTERS Group AG is the sum of its subsidiaries. Two factors are critical for long-term economic success and performance: the growth of the group through the acquisition of additional operating companies by the platform companies and the operational development of these companies.

Growth of the Group

		2019-22	2023	H1 2024
Companies newly added to the Group	 NACHFOLGEKAPITAL	10	5	0
	 OKAM SOFTWARE	14	8	1
	 CarMa. Car-Mien Management Holding	2	5	0
	 mlog capital	0	0	3
	 ALTAMOUNT SOFTWARE HOLDING	0	0	1
	Direct subsidiaries of CHAPTERS Group AG	2	0	0
Operating portfolio companies at the end of the period		26 ¹	41 ²	46
thereof minority interests		2	1 ³	1
Invested capital ⁴		€ 100.7 MM	€ 165.8 MM	€ 198.6 MM
thereof for the acquisition of / investment in minority interests		€ 9.4 MM	€ 15.5 MM	€ 20.7 MM

The invested capital includes the total amount invested for the acquisition of group companies (including external financing, seller loans, and equity contributions from minority shareholders) as well as funds provided by CHAPTERS Group AG to establish the business operations of its subsidiaries. As far as minority interests are concerned, only the amount invested by CHAPTERS Group AG is considered.

Development of the operating portfolio companies

For the overview below, all operating companies (including the minority interest to the extent not publicly traded) that are part of the group as of June 30, 2024, are considered with their full results for the entire period, regardless of the time of acquisition or the share of CHAPTERS Group AG. To calculate the amounts attributable to CHAPTERS Group AG, the relevant pro-rata share of CHAPTERS Group AG in the respective operating company as of June 30, 2024, is applied to each operating company's results, taking into account minority interests at various levels of the legal structure.

¹ In the 2022 financial year, one of the operating companies under NGC Nachfolgekapital GmbH was merged with another, and another company was sold.

² In the 2023 financial year, the ARUDI Group, with 3 operating companies, was spun off by means of a management buyout.

³ In the 2023 financial year, CHAPTERS Group AG increased its share in Fintiba GmbH from 39.9% to 55%; accordingly, the company will be included in the group's consolidated financial statements going forward.

⁴ Excluding amounts invested in previous years in companies that are no longer part of the group as well as the investment made in Software Circle plc.

Revenue and EBITDA development of the operating portfolio companies

Sum of all companies that are part of the group since		12/2022	12/2023	06/2023 ⁵	06/2024
2019-22	revenue	€ 50.6 MM	€ 61.5 MM	€ 29.5 MM	€ 34.0 MM
H1 2023			€ 12.2 MM	€ 5.1 MM	€ 6.1 MM
H2 2023			€ 18.9 MM		€ 9.1 MM
2024					€ 9.2 MM
Total		€ 50.6 MM	€ 92.7 MM	€ 34.6 MM	€ 58.4 MM
<i>thereof from minority interests⁶</i>		<i>€ 4.3 MM</i>	<i>€ 5.2 MM</i>	<i>€ 2.7 MM</i>	<i>€ 2.8 MM</i>
2019-22	EBITDA (rep.)	€ 9.2 MM	€ 13.4 MM	€ 6.4 MM	€ 7.5 MM
H1 2023			€ 3.1 MM	€ 1.4 MM	€ 1.5 MM
H2 2023			€ 4.9 MM		€ 0.8 MM
2024					€ 2.8 MM
Total⁵		€ 9.2 MM	€ 21.4 MM	€ 7.8 MM	€ 12.5 MM
<i>thereof from minority interests⁶</i>		<i>€ 0.6 MM</i>	<i>€ 0.4 MM</i>	<i>€ 0.4 MM</i>	<i>€ 0.4 MM</i>
2019-22	EBITDA (adj.)	€ 13.4 MM	€ 17.2 MM	€ 8.0 MM	€ 8.6 MM
H1 2023			€ 3.6 MM	€ 1.4 MM	€ 1.8 MM
H2 2023			€ 4.5 MM		€ 0.5 MM
2024					€ 2.8 MM
Total⁵		€ 13.4 MM	€ 25.4 MM	€ 9.4 MM	€ 13.7 MM
<i>thereof from minority interests⁶</i>		<i>€ 0.6 MM</i>	<i>€ 0.6 MM</i>	<i>€ 0.6 MM</i>	<i>€ 0.4 MM</i>
<i>thereof attributable to CHAPTERS Group AG</i>		<i>€ 9.1 MM</i>	<i>€ 16.9 MM</i>	<i>€ 5.9 MM</i>	<i>€ 9.3 MM</i>

The companies that became part of the group in the second half of the year 2023 demonstrated a very strong second half driven by – amongst other things – a strong revenue with (quasi-)public clients that is usually recognized in the second half of the year.

Base Value

As communicated at the AGM 2024, the company decided not to calculate the the Base Value going forward as a key figure.

Earnings per share

The company has been calculating earnings per share since the 2020 financial year. For this purpose, the net income attributable to CHAPTERS GROUP AG (adjusted for accounting-related purchase price depreciation and other consolidation-related effects) of all subsidiaries of CHAPTERS Group AG is added up. The net income of companies in which CHAPTERS Group AG holds a minority stake is only included if there are distributions. The result of CHAPTERS Group AG is included in full. At the level of CHAPTERS Group AG, the result from the securities portfolio (realized profits and losses from sales, interest/dividends, and depreciation at the end of the year) has a significant influence, so earnings per share without securities result is also calculated. A reconciliation of the reported consolidated net income to earnings per share can be found in the combined management report.

⁵ The published interim report for 2023 included € 9.1 MM in revenue and € 1,75 MM in EBITDA (reported and adjusted) attributable to the ARUDI Group that is no longer part of the group.

⁶ Fintiba GmbH is no longer included in the results from minority interests. For reasons of comparability, the classification was also changed for 2022 and first half of 2023.

Earnings per share

	12/2022	12/2023	06/2023	06/2024
Net income (adj.) of the associated companies attributable to CHAPTERS Group AG	€ 5,936.1 k	€ 3,448.7 k	€ 1,035.4 k	€ - 171.1 k
Net income of CHAPTERS Group AG	€ -5,119.7 k	€ 1,656.4 k	€ 646.3 k	€ 2,273.1 k
thereof from securities (including the accounting loss on the re-issue of the perpetual bond)	€ -5,342.7 k	€ 19.08 k	€ -224.2 k	€ 1,738.2 k
Number of shares at the end of the period	16,066,600	18,149,192	16,499,266	19,547,705
Adj. earnings per share	€ 0.05	€ 0.28	€ 0.10	€ 0.11
Adj. earnings per share without profit from securities	€ 0.38	€ 0.28	€ 0.11	€ 0.02

Two main factors drive the negative net income of associated companies for the first half on 2024: As explained above, the companies acquired in the second half of 2023 had a particularly strong second half of the year. However, the interest costs for the acquisition price for those companies (both for external financing but also for the shareholder loans) impacted the first half of 2024, resulting in a negative net income for these companies in the first half of 2024. Additionally, one-off legal expenses related to refinancings at acquisition company level were fully reflected in the net income for the first half of 2024. In addition, for the companies acquired in 2024 and the end of 2023, the usually established profit and loss transfer agreements between the acquisition company and the operating entity have not yet been established. As a result, interest expenses at the acquisition company cannot be offset against the operating income of the relevant subsidiary, leading to higher tax expenses.

The figure for the 2022 financial year includes an income of € 0.20 per share from the sale of operating portfolio companies, while the figure for 2023 includes an income of € 0.04 per share from the sale of operating portfolio companies

Overview of operating companies

	Vertical Market Software & Internet Services	Financial Services	Education	Industry-related services
OKAM SOFTWARE	     blaulicht SMS     SOLARYS      PARITY SOFTWARE    			
Carma. Carrier Management Holding	     			
mlog capital	   			
ALTAMOUNT SOFTWARE HOLDING				
 NACHFOLGEKAPITAL			 	 
Direct investments CHAPTERS Group		Fintiba 		EMC 



**Combined
interim management report
as of
June 30, 2024**

Basis of the Group and CHAPTERS Group AG

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Risk and Opportunity report

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Outlook report

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A. Basis of the Group and CHAPTERS Group AG

Business activity and orientation

CHAPTERS Group AG (formerly MEDIQON Group AG) was established in its current form in 2018. The name was changed to CHAPTERS Group AG in July 2023. The company has been listed on the Basic Board in the Open Market of the Frankfurt Stock Exchange (WKN 661 830) since June 3, 2005.

CHAPTERS Group AG aims to **build a home for mission-critical businesses**. For us, “mission-critical” are those products and services that are essential for the end customers – be it an ERP system or a blocked account for the visa process.

We invest – usually with a majority stake and indirectly through our platform companies – in companies that have been established in their respective market segments for many years.

When it comes to our corporate investments, we – like the platform companies – follow an entrepreneurial and long-term approach. The development of the operating companies is driven forward sustainably and in partnership with the respective managing directors and employees. The sale of operating companies to increase the Group's value in the short term are expressly not part of the strategy. Nevertheless, divestitures can occur, especially if they allow companies and managing directors to take the next step on their growth path.

CHAPTERS Group AG as a holding company

CHAPTERS Group AG invests in companies that have usually been established in their respective market segments for many years. CHAPTERS Group AG's investments in operating companies (the “portfolio companies”) usually do not take place via direct participation of CHAPTERS Group AG. Instead, platform companies are established, in which CHAPTERS Group AG holds a majority stake. The platform companies, in turn, acquire ownership in the operating companies. CHAPTERS Group AG provides the equity capital required for the investments as the ultimate parent company.

As part of the corporate strategy, in individual cases, CHAPTERS Group AG also participates directly and with a minority stake in operating companies.

Goals and strategy

Increasing the company value by expanding the portfolio

CHAPTERS Group AG pursues the goal of sustainably increasing the Group's value in the long term. To this end, the existing portfolio of operating companies is to be further expanded in the coming years – both through acquisition-based growth of the existing platform companies as well as through the establishment of new or participation in existing platform companies or direct investments in operating companies.

The establishment of or participation in new platform companies or direct company investments by CHAPTERS Group AG does not follow a set investment strategy. Potential new platforms are characterized by the fact that there is growth and investment potential in the relevant market over the coming years and that, therefore, the business models can scale. Most importantly, there must

be an operational team that is willing to build the segment together with CHAPTERS Group AG as a long-term capital partner. In particular, in the vertical market software segment, we see opportunities for further growth over the coming years, especially in other European countries. The focus is on investments with purchase prices in the mid-million-euro range, which are only considered professionally by few investors, if at all.

Sustainable further development of the operating portfolio companies

The companies in which CHAPTERS Group AG or its platform companies invest have usually been successfully established in their respective niches for decades and are characterized by sustainable profitability. The companies will continue to operate as independent companies, and their individual corporate culture will be preserved. Networking within the group enables the exchange of relevant expert knowledge and puts the companies in a stable position for further growth.

Platform companies as growth drivers

The platform companies are the main drivers of the growth of CHAPTERS Group AG as a group. As of June 30, 2024, six platforms belong to the group. CHAPTERS Group AG holds an 80% stake in NGC Nachfolgekapital GmbH, Ookam Software GmbH, CarMa Holding GmbH, and mlog capital SAS. The remaining 20% are held by the managing directors of the companies as part of a management participation. CHAPTERS Group AG holds an 87.5% stake in Altamount Software GmbH, founded in the first half of 2024, with the remaining shares held by the managing director of the platform.

In addition, CHAPTERS Group AG holds a 55% stake in Fintiba GmbH. 35% of the shares are held by the management team of Fintiba GmbH, and the remaining 10% by two angel investors. Different to the other five companies, CHAPTERS Group AG has taken a direct stake in an operating company.

The six platform companies focus on different markets and pursue independent strategies. The respective management sets those strategies and is responsible for the execution. CHAPTERS Group AG is in regular contact with the respective managing directors and acts as a “sparring partner”. The respective management actively and independently controls the selection of potential new operating companies within the respective platforms.

NGC Nachfolgekapital GmbH invests in profitable companies that require professional support during the succession process, whether due to financial or personnel needs or to secure a capital partner for further growth. NGC Nachfolgekapital GmbH brings together the capital and potential successors for the continuation and/or expansion of the management of the operating companies. Together with the operating management, the development of the companies is driven forward, both through organic growth and, for example, through add-on transactions.

Ookam Software GmbH focuses on building a decentralized software group and building a talent pool of managers within the Ookam organization who will lead the operating companies. The target companies are providers of vertical industry software and specialized technology companies that are characterized by long-term customer loyalty and, as a result, a high proportion of recurring revenue. The target companies operate independently; Ookam Software GmbH contributes to the sustainable development of the companies with their software expertise and an active exchange of experience and knowledge.

CarMa Holding GmbH is building an integrated (service) group in the telecommunications sector with a focus on the fiber optic sector. An integral part of the strategy is the establishment of carrierwerke GmbH, which offers a modern and comprehensive service concept for broadband networks for municipal utilities, municipalities and other network owners. The offer is supplemented by the software solutions for Internet service providers from codewerke GmbH. In addition, the group is also active as an Internet service provider itself.

The group also holds 55% of the shares in Fintiba GmbH. Fintiba GmbH was founded in 2016 and has established itself in recent years as one of the leading providers of support for international students and young professionals on their way to Germany, in particular through the option of opening a blocked account required for the visa process online and from abroad. Fintiba GmbH's vision is to be the central point of contact for all (financial) products and services required in Germany for foreign students and young professionals. CHAPTERS Group AG supports and accompanies this strategy as a long-term and capital-strong partner.

mlog capital SAS invests in industry software companies based in France and Benelux that are looking for a new, long-term shareholder. The companies are to continue to operate independently in a decentralized organizational structure and benefit from the exchange of knowledge with other group companies and development opportunities within the group for local talent.

Altamount Software GmbH was founded in June 2024 with the goal of building a group of software companies in the field of cyber security, governance, risk management, and compliance solutions around the anchor investment in GBS Europa GmbH. Particular emphasis will be placed on companies that serve regulated clients, such as banks and municipalities.

A. Economic report

Macroeconomic environment

In the first six months of 2024, gross domestic product in the European Union grew moderately by 0.5%. In Germany, gross domestic product remained stable in the first half of 2024 after a slight decline in 2023. Inflation has fallen compared to the high levels of the previous year and was around 2.5% in the first half of the year for both the European Union and Germany. For 2024 as a whole, the OECD expects moderate growth for the euro area, while GDP is expected to stagnate in Germany.

Business performance

In the first half of 2024, the investment platforms acquired stakes in five operating companies, all in the software sector.

As of June 30, 2024, a total of 46¹ operating companies belong to the group, one of which is a minority stake (December 31, 2023: 41 companies, one of which is a minority stake). In addition, since March 2024, CHAPTERS Group AG has been the largest shareholder in Software Circle plc, which holds stakes in industry software companies in the United Kingdom and Ireland, with a 29.90% stake. As in the previous year, CHAPTERS Group AG also holds a minority stake in two companies

¹ Companies with smaller sister companies or subsidiaries are grouped together for the purposes of this calculation.

that are not currently operating and has held a 20.00% stake in MedNation AG (formerly Eifelhöhen-Klinik AG) since 2021.

Key figures as of June 30, 2024²

The Group's continued successful growth in the first half of 2024 is reflected in the key figures. The sales and EBITDA figures shown here are a pro forma view that includes all operating portfolio companies belonging to the Group as of June 30, 2024, for the first half of the year.

	06/30/ 2024	06/30/ 2023	12/31/ 2023
Adjusted earnings per share	€ 0.11	€ 0.10	€ 0.28
Adj. Earnings per share, excluding securities income	€ 0.02	€ 0.11	€ 0.28
Revenue of operating companies (majority) ³	€ 55.6 MM	€ 35.8 MM	€ 87.2 MM
EBITDA (adj.) of operating companies (majority) ³	€ 13.3 MM	€ 8.9 MM	€ 24.5 MM
Revenue of operating companies (minorities)	€ 2.8 MM	€ 7.9 MM	€ 5.2 MM
EBITDA (adj.) of operating investments (minorities)	€ 0.4 MM	€ 2.2 MM	€ 0.6 MM
Operating companies (majority holdings)	45	29	40
Minority holdings of the group (if not listed on the stock exchange)	1	2	1
Invested capital ⁴	€ 198.6 MM	€ 145.6 MM	€ 165.8 MM
<i>thereof for the acquisition/investment of/in minority shareholdings (if not listed on the stock exchange)</i>	<i>€ 20.7 MM</i>	<i>€ 21.6 MM</i>	<i>€ 15.5 MM</i>

According to section 301 HGB, the calculation of revenue and EBITDA in the consolidated financial statements only includes the results for the period in which the company was part of the group. In addition to the operating companies, CHAPTERS Group AG and the platform companies and acquisition companies are also included in the consolidated financial statements. Costs at the level of the platform companies and acquisition companies are mainly incurred to drive the group's further growth by reviewing new acquisitions on the one hand and the further development of the operative investment companies (e.g., setting up advisory boards made up of industry experts) on the other.

² As discussed at the 2024 Annual General Meeting, the Company has decided to no longer calculate the base value as a key performance indicator.

³ All operating companies in which CHAPTERS Group AG directly or indirectly holds more than 50% of the shares.

⁴ Includes the total capital invested in the acquisition of group companies (including debt financing and equity contribution from minority shareholders) as well as funds provided by CHAPTERS Group AG for the operational business of subsidiaries. In the case of minority holdings, only the amount invested by CHAPTERS Group AG for the acquisition of the company is taken into account.

Reconciliation of revenue and EBITDA to the interim consolidated financial statements 2024

	Revenue	EBITDA (reported) ⁵
Sum of all operating portfolio companies	€ 58.41 MM	€ 12.55 MM
- <i>thereof from minority holdings</i>	€ 2.83 MM	€ 0.44 MM
- <i>thereof before the time of acquisition</i>	€ 5.59 MM	€ 1.49 MM
= Sum of operating companies included in the consolidated financial statements	€ 49.98 MM	€ 10.62 MM
+ <i>Platform companies and acquisition companies</i>	€ 0.04 MM	€ -1.85 MM ⁶
+ <i>CHAPTERS Group AG and investment company</i>	€ 0.00 MM	€ -3.17 MM ⁷
= Value in the consolidated financial statement	€ 50.02 MM	€ 5.60 MM

The **adjusted EBITDA** of the operating portfolio companies for the first half of 2024 amounts to **EUR 13.30 million**, EUR 1.49 million thereof is attributable to the result before the acquisition date. The corrections applied to EBITDA total EUR 1.19 million in the first half of 2024. EUR 0.88 million thereof are start-up costs. Around EUR 0.10 million relates to payments to existing shareholders, which are still included in the expenses of the operating companies in the first half of 2024. An amount of EUR 0.27 million is included for one-off personnel and other costs (mainly legal advice). EUR 0.07 million non-period income (offset against non-period expenses) is deducted.

Adjusted earnings per share

Inherent in the business model of CHAPTERS Group AG and its subsidiaries, the company's consolidated earnings are particularly influenced by the results of capital consolidation, the resulting amortization of intangible assets, and the reversal of the order volume disclosed as part of the purchase price allocation and the associated reversal of deferred liabilities taxes. In addition, the amortization of goodwill has a significant impact on the consolidated result.

For the adjusted earnings, the consolidated net loss for the year is adjusted for these effects (and the resulting share thereof attributable to minorities). In addition – as for revenue and EBITDA – the earnings of the companies acquired in the current financial year, which were generated by a group company before the acquisition, are also taken into account (adjusted proportionally for the shares of the minority shareholders at the various levels). The result from associated companies is only taken into account for the calculation if it is a distribution (after taxes).

⁵ When calculating the reported EBITDA, the reduction in the inventory of finished and unfinished products resulting from the purchase price allocation, income from the release of provisions, and income, losses and costs from the disposal of fixed assets are not taken into account. The calculation can be found in the notes on the Group's earnings situation.

⁶ Includes one-off consulting costs in connection with refinancing at the level of acquisition companies amounting to EUR 0.36 million.

⁷ Includes EUR 1.90 million in expenses related to the creation of provisions for share-based compensation.

Reconciliation from consolidated (interim) result to adjusted earnings per share
(in EUR thousand)

		01/01/ - 06/30/24	01/01/ - 06/30/23	01/01/ - 12/31/23
	Net loss of the year	€ -5,908.26	€ -4,195.56	€ -6,390.72
-	Shares of other shareholders	€ -1,431.94	€ -1,198.82	€ -2,306.62
=	Consolidated net loss	€ -4,476.32	€ -2,996.73	€ -4,084.09
+	Reduction in inventories of finished goods from purchase price allocation	€ 730.96	€ 364.76	€ 738.99
+	Depreciation of assets from purchase price allocation and goodwill	€ 7,737.80	€ 5,084.63	€ 10,963.63
-	Reversal of deferred tax liabilities	€ 603.20	€ 362.63	€ 718.61
-	thereof included in shares held by other shareholders	€ 2,005.74	€ 1,252.29	€ 2,795.76
+	Other consolidation-related adjustments (if attributable to the parent company)	€ 26.23	€ 124.75	€ -1,420.97
	Adjustments from the results of capital consolidation	€ 5,886.07	€ 3,959.22	€ 6,767.28
-	Results of subsidiaries before the acquisition date	€ -129.85	€ 306.68	€ 1,194.66
+	thereof shares of other shareholders	€ 0.00	€ 518.70	€ 1,316.70
	Adjustments from the results of associated companies	€ 129.85	€ 212.02	€ 122.04
+/-	Results of subsidiaries before the acquisition date	€ 646.24	€ 651.36	€ 3,752.98
-	thereof shares of other shareholders	€ 84.84	€ 144.22	€ 1,453.09
	Adjustments from results before acquisition	€ 561.40	€ 507.14	€ 2,299.90
=	Adjusted (group) net income	€ 2,101.00	€ 1,681.65	€ 5,105.11
/	Number of shares at the end of the year	19,547,705	16,499,266	18,149,192
=	Adj. earnings per share	€ 0.11	€ 0.10	€ 0.28
-	Earnings per share from the CHAPTERS Group AG securities portfolio	€ 0.09	€ -0.01	€ 0.00 ⁸
=	Adjusted earnings per share, excluding income from securities	€ 0.02	€ 0.11	€ 0.28⁹

Financial position and net assets of the group

Effects of capital consolidation and purchase price allocation on the asset position

Inherent to the business model of CHAPTERS Group AG and its subsidiaries, the Group's balance sheet is particularly influenced by the results of the capital consolidation of the subsidiaries belonging to the Group. The value of the investment (purchase price plus transaction costs) – usually recognized at the level of the acquiring company – is offset against the newly valued equity of the operating company attributable to the acquisition company.

Capital consolidation is carried out using the revaluation method: As part of a purchase price allocation, the main (in)tangible assets of the respective operating company are identified, if applicable, subjected to a revaluation. The uncovered hidden reserves are capitalized in the

⁸ Including EUR 888.26 thousand loss from the re-issue of the perpetual bond.

⁹ Includes one-time income from the sale of an operating investment company by NGC Nachfolgekapital in the amount of EUR 0.04 per share in 2023 (in the second half of the year).

consolidated financial statements and – to the extent relevant – amortized or – if necessary – subject to write-down.

Since the Group companies are companies from the service and software sector, whose business model is characterized by low capital expenditure and debt, no significant hidden reserves or losses were identified in the tangible assets and liabilities, except for one property acquired as part of the acquisition of an operating company. In the course of the business model analyses, the following intangible assets were identified and assessed:

Software: The costs of internally developed software of the operating companies were usually not capitalized in the individual financial statements. Within the scope of the purchase price allocation, the software was reevaluated and – depending on how modern the software solution is – depreciated over three to seven years.

Brand: The companies acquired through the platforms are regularly established and well known in their specific niches so that value can be assigned to the respective brand. The assets identified this way are depreciated over 15 years.

Order Backlog: The Group's software companies, in particular, are characterized by a high proportion of maintenance contracts, which are accompanied by annual maintenance fee payments by the clients. Depending on the time of acquisition and the notice periods of the contracts, there are hidden reserves at the time of acquisition based on future revenues that were uncovered as part of the purchase price allocation. The assets identified this way are recognized as current assets under finished products and goods (thereof from purchase price allocation) and reversed over the remaining term of the contracts (usually one year).

Deferred tax liabilities accrued for the hidden reserves during the initial consolidation and the resulting timing and valuation differences between the commercial and tax balance sheets. These deferred taxes are recognized in equity upon initial consolidation. For simplification purposes, an average combined tax rate of 30% was used for companies based in Germany. The country-specific tax rate is used to calculate deferred tax liabilities for companies based abroad. The deferred tax liabilities are released in the consolidated income statement over the useful life of the respective assets.

The difference between the valuation of the investment at the direct parent company and the revalued equity in the fully consolidated subsidiary is recorded in the consolidated balance sheet as **goodwill**, which is amortized over ten years. The goodwill reflects the long-term business relationships as well as the good operating profitability of the operating portfolio companies. The respective acquisition date of the subsidiaries was chosen as the valuation date.

There are minority shareholders at various levels in the corporate structure of the CHAPTERS Group. If capital consolidation takes place at the relevant level, the minority shareholders' share in the depreciation and release of the hidden reserves in the assets and goodwill identified in the purchase price allocation is allocated to the other shareholders' share in the annual profit or the equity carried forward (figures in EUR thousand).

The disposals or write-offs in previous years result from disposals of companies from the scope of consolidation.

	Acquisitions 2019-2023	Disposals/ De- recognition 2019-2023	Depreciation/ reversal 2019- 2023	EB 2023/AB 2024	Acquisition	Disposals / De- recognition	Depreciation/ reversal	EB 06/2024
Goodwill	133,174.6	-17,675.20	-15,821.4	99,678.1	20,586.3	1.7	-6,298.6	113,967.6
Intangible assets from revaluation	20,530.8	-392.4	-4,547.6	15,590.8	4,574.1	-13.5	-1,453.40	18,698.1
Property, plant, and equipment from revaluation	145.6		-24.2	121.5			14.1	135.6
Order backlog from revaluation	4,802.4	-114.7	-2,790.5	1,897.1	1,361.40	-0.1	-731	2,527.5
Deferred tax	7,123.9		2,021.3	5,102.6	1,723.70	-12.3	609.6	6,204.4
Effect on net income							-7,859.2	
thereof shares of other shareholders							-2,005.7	
Share of consolidated earnings/loss carried forward							-5,853.4	

Financial position of the Group

The Group's **total assets** increased by around 17% in the first half of 2024 as a result of ongoing acquisition activities, from EUR 223.95 million as of December 31, 2023, to EUR 261.77 million as of June 30, 2024.

The Group's **fixed assets** increased in the first half of 2024 from EUR 154.45 million as of December 31, 2023, to EUR 202.51 million as of June 30, 2024, with around 66% of this attributable to goodwill.¹⁰ And hidden reserves on assets identified as part of the purchase price allocation (previous year: 75%). The decline in the share of goodwill and hidden reserves on assets identified as part of the purchase price allocation in fixed assets is due to the disproportionate increase in financial assets, which mainly results from the increase in shares in associated companies in the first half of 2024.

The Group's **financial assets** increased from EUR 30.29 million to EUR 57.81 million in the first half of 2024. EUR 8.35 million (December 31, 2023: EUR 11.44 million) includes the securities portfolio held by CHAPTERS Group AG as the parent company; securities are held to a smaller extent at the level of the group companies. In April 2024, CHAPTERS Group AG repurchased a nominal volume of EUR 9 million of the perpetual bond issued by the company at a price of 91.07%, within the scope of a voluntary repurchase offer. The shares are reported in financial assets plus the interest accrued since the repurchase with a total of EUR 8.33 million. There is no offset against the total nominal volume of the bond of EUR 25.00 million reported under liabilities. Further information on the

¹⁰ Thereof, an amount of EUR 0.17 million (previous year EUR 0.12 million) is attributable to goodwill already accounted for in the acquired companies prior to acquisition by CHAPTERS Group AG and its subsidiaries.

composition of the securities portfolio and the accounting of the perpetual bond can be found in the presentation of the financial and asset position of CHAPTERS Group AG as the parent company of the group.

The included **shares in affiliated companies** (not consolidated) in the amount of EUR 1.22 million (December 31, 2023: EUR 1.22 million) are the participation in two companies by CarMa Holding GmbH that took place in the 2023 financial year and were not yet included in the scope of consolidation because the necessary financial statements of the individual company were not yet available at the time the interim consolidated financial statements were prepared. The inclusion was therefore waived with reference to Section 296 (1) No. 2 of the German Commercial Code (HGB).

In addition, the **shares in associated companies** held by CHAPTERS Group AG or its wholly owned subsidiary MEDIQON Beteiligungsgesellschaft mbH in the amount of EUR 38.00 million (December 31, 2023: EUR 15.59 million) are reported here. Shares in associated companies are valued at acquisition cost net of dividends received since the investment and the cumulative results of the respective company. If the acquisition costs exceed or fall short of the reported equity of the respective company at the time of acquisition, the difference is released to profit or loss over ten years. The reversal is included in the results from associated companies. In the first half of 2024, the shares increased by EUR 5.19 million due to the payment into the capital reserve of Global Heart Beteiligungsgesellschaft mbH, an indirect subsidiary of MEDIQON Beteiligungsgesellschaft mbH. Newly included in the associated companies is the investment of CHAPTERS Group AG in the listed Software Circle plc, in which CHAPTERS Group AG has been the largest shareholder with 29.90% since March 2024. Software Circle plc invests in industry software companies in the United Kingdom and Ireland. CHAPTERS Group AG has held shares in Software Circle since 2023, and the threshold of 20% was exceeded in 2024. The acquisition costs for the shares in Software Circle total EUR 17.36 million. Taking into account the results from associated companies of - EUR 0.13 million, this results in a total increase of EUR 22.41 million.

The Group's **property, plant, and equipment** increased by EUR 1.14 million to EUR 8.22 million in the first half of 2024. Around 50% of the increase results from investments by a subsidiary of CarMa Holding. In the 2023 financial year, CarMa Holding took over the Glasfaser Direkt Group, including a partially completed fiber-optic telecommunications network ("Fiber-to-the-Home"), which is now being completed by the CarMa Group.

The Group's **current assets** fell from EUR 65.73 million to EUR 56.45 million in the first half of 2024, of which EUR 38.45 million was attributable to **cash and cash equivalents** (December 31, 2023: EUR 50.84 million). Of this, around EUR 18.12 million (December 31, 2023: EUR 26.95 million) is attributable to CHAPTERS Group AG and EUR 0.23 million to its three direct wholly owned subsidiaries (December 31, 2023: EUR 11.09 million.).

The increase in **finished products and goods** from EUR 2.37 million to EUR 2.95 million is mainly due to the hidden reserves identified in the purchase price allocation in connection with existing contracts, which increased by EUR 0.63 million when offset against the release of hidden reserves identified in previous years.

Trade accounts receivable amounted to EUR 8.95 million as of June 30, 2024, and increased by EUR 1.25 million in the first half of 2024. Of this, EUR 1.23 million relates to companies that became part of the group in the first half of 2024.

Of the EUR 2.57 million in **prepaid expenses and deferred charges** (December 31, 2023: EUR 3.53 million), EUR 1.86 million (December 31, 2023: EUR 2.82 million) is attributable to the discount on the perpetual bond issued by CHAPTERS Group AG in May 2020, which will be amortized to profit or loss over the first five years of its term. Further information on this can be found in the presentation of the financial and asset position of CHAPTERS Group AG as the parent company. In addition, individual operating companies have created prepaid expenses and deferred charges for invoices paid in the first half of 2024 but which are economically attributable to the entire financial year or the 2025 financial year.

Equity increased by EUR 24.63 million as a result of the capital increase against contribution in kind by CHAPTERS Group AG as the parent company registered on March 6, 2024, of which EUR 1.40 million was attributable to the share capital and EUR 23.23 million to the capital reserve. As a contribution in kind, the subscribers to the capital increase contributed a loan repayment claim against MEDIQON Beteiligungsgesellschaft mbH in the amount of EUR 10.35 million and a total of 88,485.50 thousand shares in Software Circle plc, which were valued for the capital increase at a price of GBP 0.138 per share in line with the stock exchange price at the time of the resolution to implement the capital increase. As of June 30, 2024, the price was GBP 0.19 per share.

As a result of the payment into the capital reserve by minority shareholders at the level of subsidiaries of the ENTRO Group as part of a capital increase, the capital reserve attributable to the Group has also increased by EUR 0.04 million and thus amounts to a total of EUR 148.61 million as of June 30, 2024 (December 31, 2023: EUR 125.34 million). As part of this capital increase, the Group's share in the Group's companies and thus the loss carried forward from previous years has decreased by around 1.32%, so that the loss carried forward as of June 30, 2024, is around EUR 0.03 million lower than the balance sheet result allocated to the Group as of December 31, 2023.

The item currency difference from revaluation in the amount of EUR 1.02 million (December 31, 2023: EUR 0.85 million) results from the Czech subsidiary that joined the group in the 2023 financial year. Different exchange rates in the valuation at the time of acquisition and the preparation of the interim consolidated financial statements result in a difference in the revalued assets from purchase price allocation, which is offset via this item. Taking into account the balance sheet loss and the shares of other shareholders in the equity at the various group levels, the group equity as of June 30, 2024, totals EUR 143.17 million (December 31, 2023: EUR 124.08 million). The equity ratio is 54.7% (December 31, 2023: 55.4%).

Provisions amount to EUR 15.60 million as of June 30, 2024 (December 31, 2023: EUR 10.39 million). Of this amount, EUR 5.76 million is attributable to tax provisions (December 31, 2023: EUR 4.12 million). The increase is mainly due to the growth of the group. Around EUR 1.0 million of the tax provisions are attributable to companies that became part of the scope of consolidation in the first half of 2024.

Other provisions increased from EUR 6.27 million to EUR 9.80 million and include provisions of EUR 2.77 million for share-based compensation at the level of CHAPTERS Group AG (December 31, 2023:

EUR 0.87 million). Share-based compensation was introduced in the 2023 financial year. Further explanations on the calculation of provisions can be found in the following notes on the financial and asset position of CHAPTERS Group AG. For transactions that took place in the first half of 2024, additional provisions for potential earn-out payments and transaction costs of EUR 1.15 million were created. Pension provisions amounting to EUR 0.04 million are included for the first time.

Liabilities amount to EUR 83.89 million as of June 30, 2024 (December 31, 2023: EUR 80.30 million). An amount of EUR 16.82 million has a remaining term of less than one year (December 31, 2023: EUR 29.07 million), an amount of EUR 30.72 million has a remaining term of between two and five years (December 31, 2023: EUR 21.79 million). An amount of EUR 36.35 million (December 31, 2023: EUR 29.44 million) has a remaining term of more than 5 years.

As in the previous year, an amount of EUR 25.00 million of the total amount of liabilities is attributable to the **perpetual bond** issued by CHAPTERS Group AG in May 2020. Details of the bond can be found in the presentation of the financial and asset position of CHAPTERS Group AG as the parent company.

Liabilities to credit institutions increased from EUR 29.43 million to EUR 46.45 million in the first half of 2024. For transactions that had already taken place in previous years, bank financing of EUR 9.54 million was taken out to repay the bridge financing provided by CHAPTERS Group AG. The positive operational development of the relevant operating subsidiaries and repayments made in the past have also made it possible to raise a further EUR 7.06 million to refinance long-term shareholder loans and deferred shareholder loan interest from previous years, of which EUR 5.90 million went to CHAPTERS Group AG and EUR 1.16 million to minority shareholders. EUR 2.8 million was raised for transactions that took place in the first half of 2024. EUR 0.33 million was raised at the operational level. Interest that had yet to be paid as of June 30, 2024, and the assumption of liabilities from companies that became part of the Group in the first half of 2024 resulted in an increase of EUR 0.08 million. Repayments on bank financing totaling EUR 2.78 million were made.

Trade accounts payable of EUR 2.87 million mainly include liabilities for purchased services at the level of the operating subsidiaries and decreased by EUR 0.19 million in the first half of 2024. At the level of the companies that were already part of the scope of consolidation for the 2023 financial year, liabilities decreased by EUR 0.85 million. An amount of EUR 0.67 million was added from companies that became part of the group in the first half of 2024.

The **advance payments** on orders received as of December 31, 2023, in the amount of EUR 0.36 million, which are mainly attributable to the companies belonging to the group with a focus on trade (Kältehelden GmbH and companies of the ENTRO Group), were reduced in the first half of 2024 through the completion of the relevant projects and amount to EUR 0.19 million as of June 30, 2024.

Other liabilities amount to EUR 9.37 million (December 31, 2023: EUR 22.45 million) and include **liabilities to sellers** of EUR 2.52 million (December 31, 2023: EUR 14.92 million). In the first half of 2024, an amount of EUR 2.21 million in seller loans was repaid. An additional amount of EUR 10.35 million was repaid as part of the capital increase against a contribution in kind at the level of CHAPTERS Group AG. In the course of transactions in the first half of 2024, an amount of EUR 0.20 million was deferred as a seller loan—an amount of EUR 0.03 million results from lower than originally expected payments and exchange rate-related changes.

In addition, other liabilities include EUR 2.74 million (December 31, 2023: EUR 3.26 million) **liabilities owed to minority shareholders**. In the first half of 2024, minority shareholders provided EUR 0.87 million in additional funds via shareholder loans. An amount of EUR 1.51 million was repaid, of which EUR 1.16 million was refinanced through additional bank financing. An increase of EUR 0.12 million results from interest accrued and retained in the first half of 2024.

Deferred income increased by EUR 8.83 million to EUR 12.91 million as of June 30, 2024. At EUR 4.63 million, around 52% of the increase results from the addition of companies to the scope of consolidation. At the level of companies that were already part of the scope of consolidation as of December 31, 2023, the increase results from the deferral of revenue from (software) maintenance contracts accounted for in the scope of the preparation of the half-year consolidated financial statements. These contracts usually provide for invoicing for the entire financial year in January of the year.

The **deferred tax liabilities** of EUR 6.20 million (December 31, 2023: EUR 5.10 million) result mainly from the purchase price allocation carried out as part of the capital consolidation.

Liquidity position of the Group

In the reporting period (January 1, 2024, to June 30, 2024), the CHAPTERS Group AG Group reported a positive **operating cash flow** of EUR 8.83 million (previous year's period (January 1, 2023, to June 30, 2023): EUR 5.09 million).

The **cash flow from investing activities** amounted to a total of EUR -35.01 million (previous year period EUR -20.19 million), of which EUR 22.44 million (previous year period EUR 25.28 million) was paid out for the acquisition or increase of the share in operating investments.

The increase in payments for investments in property, plant, and equipment from EUR 0.72 million in the first half of 2023 to EUR 1.68 million in the current reporting period is attributable to EUR 0.88 million for investments by CarMa Holding companies for the completion of the fiber optic network acquired last year and EUR 0.27 million for ENTRO Group companies that have a craft focus. The relevant companies were not yet part of the scope of consolidation in the first half of 2023.

The payments for financial assets amounting to EUR 19.17 million (previous year: EUR 14.21 million) include EUR 5.19 million for the payment into the capital reserve of Global Heart Beteiligungsgesellschaft, which is included in the associated companies and EUR 0.75 million for the acquisition of shares in Software Circle plc, which is also included there. The additional acquisition costs for the investment in Software Circle plc amounting to EUR 2.34 million were incurred in the previous year, and EUR 14.27 million arose as part of the capital increase against contributions in kind and, therefore, do not have a liquidity impact. An amount of EUR 4.70 million results from the acquisition of securities at the level of CHAPTERS Group AG. Also included is a liquidity outflow of EUR 8.20 million for the repurchase of the EUR 9 million nominal volume of the perpetual bond. A positive cash flow of EUR 7.80 million was generated from the disposal of financial assets, of which EUR 7.18 million resulted from the sale of securities by CHAPTERS Group AG.

The **cash flow from financing activities** amounts to EUR 12.84 million (previous year period EUR 20.76 million). Subsidiaries raised external financing of EUR 31.63 million (previous year period EUR 25.44 million). Of this, an amount of EUR 11.90 million was used to refinance existing liabilities, which

is included in the repayments. In addition, EUR 5.00 million (previous year period EUR 9.94 million) was used to repay existing external financing. Of this, EUR 2.21 million (previous year period EUR 7.32 million) is used to repay seller loans from previous years. Newly taken-out seller loans are not taken into account as they do not have a liquidity effect. Also not considered is the contribution of a seller loan of EUR 10.35 million as part of the capital increase against contribution in kind in March 2024, as this has no liquidity effect.

The amount of liquid assets acquired as part of the acquisition of new operating portfolio companies by the platform companies amounts to EUR 0.95 million. The exchange rate-related changes in cash and cash equivalents resulted from the Czech subsidiary, which has been part of the consolidation group since the 2023 financial year, and the different exchange rates applied for the consolidation as of December 31, 2023, for the closing balance of the cash on hand there in local currency and the conversion as of June 30, 2024. Overall, **cash and cash equivalents** decreased from EUR 50.84 million as of December 31, 2023, to EUR 38.45 million as of June 30, 2024.

Financial and asset position of CHAPTERS Group AG (parent company)¹¹

The company's **total assets** as of June 30, 2024, increased by EUR 28.85 million to EUR 192.13 million compared to December 31, 2023. Taking into account the half-year result of EUR 2.27 million and the increase in share capital and capital reserves by a total of EUR 24.63 million as part of the capital increase against contribution in kind in March 2024, the company's **equity** increased to a total of EUR 163.64 million as of June 30, 2024 (December 31, 2023: EUR 136.74 million).

The increase in **provisions** from EUR 1.27 million as of December 31, 2023, to EUR 3.28 million is mainly due to the creation of additional provisions in the amount of EUR 1.90 million in connection with share-based compensation. In the 2023 financial year, the company's Supervisory Board established a stock option plan ("Virtual Share Option Plan", "VSOP") for the company's Executive Board. In the 2024 financial year, the stock option plan was adopted for other employees of the Company. As of June 30, 2024, a total of 394,792 virtual shares had become vested. The options were valued according to Black Scholes as of June 30, 2024, with a value between EUR 6.27 and 7.04 per option, and corresponding provisions were created.

Time of redemption	Redemption value in % of the nominal amount	As in the previous year, the perpetual bond issued in May 2020 is reported under liabilities . In May 2020, the company issued a perpetual bond with a nominal value of EUR 25.00 million and no maturity date. Five years after the issue, annual interest payments of 7% of the nominal value will begin for the first time on May 28, 2026. The issue price was 65% of the nominal value. The bond can be called annually at fixed repayment values (see table). The initial discount of EUR 8.75 million is accounted for under deferred income and released pro rata through interest expenses in
05/27/2021	70.8%	
05/27/2022	77.2%	
05/27/2023	84.2%	
05/27/2024	91.8%	
From 05/27/2025	100.0%	

¹¹ The notes on the financial and asset position of CHAPTERS Group AG are included in the audit review of the interim consolidated financial statements; an audit review of the individual financial statements has not taken place.

line with the development of the repayment value. As of June 30, 2024, an amount of EUR 1.86 million remains (December 31, 2023: EUR 2.82 million).

In April 2024, CHAPTERS Group AG repurchased a nominal volume of EUR 9 million of the perpetual bond issued by the company at a price of 91.07% of the nominal value in a voluntary repurchase offer. The shares are reported in **financial assets** plus the interest accrued since the repurchase with a total value of EUR 8.33 million.

The **shares in affiliated companies** increased from EUR 32.82 million to EUR 37.97 million in the first half of 2024. The company paid a total of EUR 5.15 million into the free capital reserve of MEDIQON Beteiligungsgesellschaft mbH. MEDIQON Beteiligungsgesellschaft mbH, in turn, used the funds to increase its (indirect) stake in Global Heart Beteiligungsgesellschaft mbH from 41.73% to 48.89% and an associated contribution to the company's free capital reserve.

As in the previous year, the **participations** include the shares held by CHAPTERS Group AG in NPV Nachfolge Beteiligungen GmbH and the shareholding in MedNation AG (formerly Eifelhöhen-Klinik AG), based in Bonn (ISIN DE0005653604). The shares are accounted for at acquisition cost. The increase from EUR 2.54 million as of December 31, 2023, to EUR 19.90 million as of June 30, 2024, results from CHAPTERS Group AG's investment in Software Circle plc, based in Manchester (ISIN GB0009638130). CHAPTERS Group AG has been the company's largest shareholder since March 2024, with a 29.90% stake.

In its role as a holding company, CHAPTERS Group AG provides the necessary funds for the acquisition of new operating portfolio companies by the platform companies and, to a smaller extent, to finance the development of business operations by means of **shareholder loans or payments into the capital reserves of subsidiaries**. Usually, a part of the acquisition price is financed through debt financing provided by banks. If bridge financing is necessary as part of the transaction process for the period between the acquisition of the company and the provision of debt financing, it is provided through shareholder loans as well. Refinancing usually takes place within a few weeks.

The interest accruing on the shareholder loans can be retained or paid at the discretion of the subsidiaries. In principle, the interest is to be paid by the subsidiaries. In the first half of 2024, an amount of EUR 2.86 million (previous year: EUR 1.40 million) was paid in interest from the previous and current financial years.

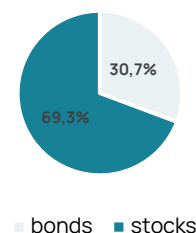
The bridge loans and retained interest are reported in current assets as receivables from affiliated companies and participations. As of June 30, 2024, this amounts to EUR 13.58 million (December 31, 2023: EUR 18.16 million). Of this, an amount of EUR 6.67 million (December 31, 2023: EUR 11.28 million) is attributable to shareholder loans issued as part of bridge financing. Retained interest (including interest from previous years, if not paid) amounts to EUR 6.90 million (December 31, 2023: EUR 6.87 million).

Such shareholder loans, which are not to be replaced by short-term refinancing but are to be repaid over the next few years from the operating cash flow of the acquired companies, are accounted for as loans to affiliated companies and participations in fixed assets due to their longer-term nature. The amount of long-term shareholder loans overall increased by EUR 15.62 million to EUR 83.52 million in the first half of 2024.

The **receivables and other assets** mainly include corporate tax refunds for the year 2022.

In addition, CHAPTERS Group AG invests some of the funds in securities as part of its **liquidity management**. In the first half of 2024, the securities portfolio was reduced to finance the acquisition of additional operating portfolio companies by the group. As of June 30, 2024, the market value of the securities portfolio (excluding shares in MedNation AG) is EUR 8.23 million (December 31, 2023: EUR 12.66 million). Equity investments are valued in accordance with the lower of cost or market principle under commercial law (Section 253 (3) sentence 5 HGB) at the lower of acquisition cost and market value as of June 30, 2024, whereby a write-down on the market value is only made if the market value is at least 5% below the acquisition cost. The bond investments are valued at the lower of acquisition cost and nominal value. From the company's point of view (as of the reporting date), there is no credit or liquidity risk for the values. The balance sheet value of EUR 8.34 million is slightly higher than the market value as of June 30, 2024, due to the bonds included. As of June 30, 2024, the portfolio consists of a total of nine securities, including one convertible bond, one corporate bond, and seven stocks. Based on the market value as of June 30, 2024, the share of the individual securities in the entire portfolio is between 1.02% and 26.60%.

Structure of the securities portfolio as of 06/30/2024 (market value)



Liquidity position of CHAPTERS Group AG

From the capital increase against contribution in kind, CHAPTERS Group AG received EUR 10.35 million, which was deposited as security for the loan, less the costs for the corporate action in the amount of EUR 0.10 million. The company received EUR 17.50 million in total from interest payments on and refinancings of existing shareholder loans. The company received a total of EUR 3.00 million from the securities portfolio and other investments. The funds were used to issue new shareholder loans, invest in the equity of subsidiaries and invest in the acquisition of minority shareholdings, as well as to buy back the bond.

	01/01- 06/30/24 In EUR '000	01/01- 06/30/23 In EUR '000	01/01- 12/31/23 In EUR '000
Bank balances at the beginning of the reporting period	26,953.0	17,708.5	17,708.5
Cash flow from shareholder loans & investments in subsidiaries	-12,594.1	-26,887.7	-59,992.7
Issued shareholder loans	-24,193.8	-26,900.1	-54,034.6
Repayments from refinancing through bank loans	+ 14,638.4	+ 11,062.5	+ 14,961.8
Interest and similar income received	+ 2,858.5	+ 1,398.4	+ 2,428.4
Investment in the equity of subsidiaries	-5,897.2	-12,448.5	-23,348.5
Cash flow from securities investments & interest	+ 2,986.3	+ 17,549.8	+ 26,100.6
Outflow from the purchase of securities (including accrued interest)	-4,679.8	-1,966.0	-4,301.2
Inflow from the sale of securities (including accrued interest)	+ 7,177.4	+ 19,381.6	+ 29,976.2
Inflow from interest and dividends on securities (after taxes)	0,0	+ 134.1	+ 208.1
Inflow from other investments	+307.5		
Inflow from interest on sight deposits (after taxes)	+ 181.1		+ 217.4

Cash flow from corporate actions and financing activities	+ 2,036.0	+ 15,944.9	+ 44,981.2
Inflow from capital increases (after costs)	+ 10,249.6	+ 6,297.8	+ 35,333.1
Inflow/outflow from the issue/repurchase of the perpetual bond (after costs)	- 8,213.6	+ 9,647.1	+ 9,648.1
Other cash flow from operations	-1,259.1	- 921.7	-1,844.5
Bank balances at the end of the reporting period	18,122.2	23,393.9	26,953.0
Securities account at the end of the reporting period¹²	9,106.9	19,424.4	13,600.9

Earnings position of the Group

The **revenue** in the reporting period amounted to EUR 50.02 million (previous year: EUR 33.65 million). The following table shows the development of revenue for the companies already included in the scope of consolidation in the 2022 financial year and the companies that were newly added to the Group:

	Total	Software and Internet services	Financial Services	Education	Industry-related services	Holding companies
	In Euro MM	In Euro MM	In Euro MM	In Euro MM	In Euro MM	In Euro MM
H1 2023 - Group revenue	33.65	14.68		6.02	12.96	0.00
Minus revenue from companies de-consolidated in 2023	-9.06				-9.06	
Plus revenue in the months prior to inclusion in the 2023 interim consolidated financial statements	2.13	2.13				
Pro-Forma revenue 2022	26.73	16.81	0.00	6.02	3.90	0.00
<i>For information: Revenue for the full year 2023 of the companies that were already part of the consolidation group in the first half of 2023</i>	<i>55.81</i>	<i>35.62</i>		<i>11.84</i>	<i>8.17</i>	<i>0.18</i>
Sales H1 2024 from companies that were already part of the consolidation group in the first half of 2023	30.72	18.45		7.75	4.47	0.04
Revenue from companies that became part of the Group in the second half of 2023 and the first half of 2024 (pro rata)	19.30	7.02	6.55		5.73	
H1 2024 - Group revenue	50.02	25.47	6.55	7.75	10.21	0.04
Plus revenue prior to inclusion in the consolidated financial statements	5.59	5.59				
H1 2024 pro forma revenue	55.61	31.06	6.55	7.75	10.21	0.04

The **decrease in the inventory of finished and unfinished products and work in progress** amounting to EUR 0.98 million (previous year period: EUR 0.58 million) consists of a reduction of EUR 0.25 million from the operating business of the companies belonging to the group (previous year period: EUR 0.22 million) and the release of the order backlog identified as part of the purchase price allocation amounting to EUR 0.73 million (previous year period: EUR 0.36 million).

¹² incl. MedNation AG

Other operating income of EUR 3.34 million (previous year period: EUR 2.21 million) results from the income of EUR 2.48 million (previous year period: EUR 1.73 million) from the disposal of and write-ups on securities at the level of CHAPTERS Group AG. At the level of the companies belonging to the group, income from the disposal of fixed assets was generated to a smaller extent.

The **cost of materials** amounts to EUR 9.13 million (previous year period: EUR 5.64 million). The cost of materials ratio is 18.3% and has thus increased slightly compared to the same period last year and the full year 2023, driven by higher expenses for raw materials, consumables, and supplies. The reason for the increase are the companies of the ENTRO Group (a subsidiary of NGC Nachfolgekapital GmbH), which became part of the group in the second half of 2023 and, among other things, offer installation, replacement, and repairs in the field of electronic gate and door systems, barriers as well as fire and smoke protection systems, and therefore have a rather high cost of sales inherent in the business model, which occurs with a certain lead time to the realization of sales.

Personnel expenses amount to EUR 24.26 million (previous year period: EUR 17.00 million), of which EUR 1.90 million is attributable to share-based compensation under the VSOP at the level of CHAPTERS Group AG. Adjusted for this effect, the personnel expense ratio is 44.7%, down from the figure for the first half of 2023 of 51.4% and the figure for the full year 2023 of 51.0%. This is mainly due to the deconsolidation of the companies in the building services sector that are inherently personnel-cost-intensive due to the business model and were still included in the first half of 2023 (and for nine months in the 2023 consolidated financial statements).

Depreciation and amortization amounted to EUR 8.81 million (previous year period: EUR 5.62 million), of which EUR 1.44 million (previous year period: EUR 0.93 million) was attributable to the depreciation of hidden reserves on assets identified as part of the purchase price allocation, and EUR 6.30 million (previous year period: EUR 4.15 million) was attributable to depreciation of goodwill resulting primarily from capital consolidation. The increase compared to the first half of 2023 results in an amount of EUR 2.89 million from the purchase of additional companies in the second half of 2023 and the first half of 2024. The disposal of companies in the second half of 2023 reduced the amount by EUR 0.78 million compared to the same period last year. In addition, the depreciation on companies acquired between January 1, 2023, and June 30, 2023, will be relevant for the first time for the entire reporting period as of June 30, 2024.

Other operating expenses amount to EUR 11.76 million (previous year period: EUR 8.23 million). The previous year's figure includes EUR 1.49 million in losses from the disposal of fixed assets resulting from disposals from the securities portfolio of CHAPTERS Group AG. For the first half of 2024, expenses from currency translation, expenses relating to other periods, and losses from impairments of current assets totaling EUR 0.40 million (previous year period: EUR 0.28 million) are included. A detailed breakdown of ordinary operating expenses amounting to EUR 11.36 million (previous year period: EUR 6.46 million) is included in the condensed consolidated notes to the interim consolidated financial statements for 2024.

To calculate **EBITDA** (earnings before interest, taxes, depreciation, and amortization) of EUR 5.60 million at Group level (previous year period: EUR 4.70 million), in addition to depreciation, the reduction in the inventory of finished products resulting from the release of the order backlog identified as part of the purchase price allocation is added to the earnings before taxes. In addition,

expenses and income from currency translation are added / deducted, and income and losses from the disposal of fixed assets and related costs are not taken into account for the calculation.

		01.01.-30.06. 2024	01.01.-30.06. 2023	01.01.-31.12. 2023
	Earnings before interest and taxes, according to the consolidated income statement	€ -1.58 MM	€ -1.21 MM	€ -1.68 MM
+	Increase in inventory from purchase price allocation	€ 0.73 MM	€ 0.36 MM	€ 0.74 MM
+	Depreciation and Amortization	€ 8.81 MM	€ 5.62 MM	€ 12.47 MM
+/-	Expenses/income from currency translation	€ 0.21 MM	€ 0.24 MM	€ 0.59 MM
-	Income from disposal and appreciation of fixed assets	€ -2.59 MM	€ -1.81 MM	€ -6.39 MM
+	Losses from the disposal of fixed assets	€ 0.00 MM	€ 1.49 MM	€ 2.31 MM
+	Sales and start-up costs (other operating expenses)	€ 0.02 MM	€ 0.00 MM	€ 0.10 MM
=	EBITDA after income from disposals of fixed assets	€ 5.60 MM	€ 4.70 MM	€ 8.15 MM

The **financial result** amounts to a total of EUR -2.79 million (previous year period: EUR -1.49 million) and includes the following items:

- ❖ The **result from associated companies** amounts to EUR -0.13 million (previous year period: EUR 0.31). The composition of the result can be found in the condensed notes to the consolidated interim financial statements.
- ❖ The **income from other securities and loans held as financial assets** amounts to EUR 0.06 million (previous year period: EUR 0.46 million) and in the first half of 2024 is entirely attributable to interest on loans to companies within the group structure. The figure for the previous year also includes EUR 0.42 million in dividends and interest on shares and bond investments in the securities portfolio managed by CHAPTERS Group AG.¹³
- ❖ **Other interest and similar income** amounted to EUR 0.55 million (previous year period: EUR 0.50 million). Of this, EUR 0.13 million (previous year period: EUR 0.36 million) was interest income on the shares in the perpetual bond held by CHAPTERS Group AG. The remaining interest income is mainly due to interest income on demand deposits.
- ❖ **Interest and similar expenses** amounting to EUR 2.51 million (previous year period: EUR 1.85 million) consist of EUR 0.96 million in interest expenses resulting from the perpetual bond at the level of CHAPTERS Group AG, EUR 0.27 million in interest on seller loans, EUR 0.12 million in interest expenses for shareholder loans from minority shareholders and EUR 1.17 million in interest expenses at the level of the subsidiaries, which mainly result from interest on external financing (bank and seller loans) taken out to refinance the purchase prices paid. The increase results from the additional raising of bank financing as part of the ongoing acquisition activity.

¹³ In line with the 2023 consolidated financial statements, the interest income on bond investments and on loans to companies in which a participation is held that has previously been included in interest and similar income has been reclassified to income from securities and loans from financial assets.

❖ The **write-downs on financial assets** amount to EUR 0.75 million (previous year period: EUR 0.91 million) and result entirely from write-downs on securities in the securities portfolio managed by CHAPTERS Group AG. Further information on the securities portfolio can be found in the presentation of the financial and asset position and the earnings position of CHAPTERS Group AG.

Taxes on income and earnings amount to a total of EUR 1.51 million (previous year period: EUR 1.48 million), including EUR 0.63 million (previous year period: EUR 0.36 million) from the reversal of deferred tax assets and liabilities (which essentially result from the results of the purchase price allocation) are offset against taxes incurred at the level of the individual companies of EUR 2.14 million (previous year period: EUR 1.84 million).

The **consolidated half-year loss** amounts to EUR 5.91 million (previous year period: EUR 4.20 million). Of this, an amount of EUR 1.43 million (previous year period: EUR 1.20 million) is attributable to minority shareholders at the various levels of the group, and an amount of EUR 4.48 million (previous year period: EUR 3.00 million) is attributable to the group parent company. For the consolidation-related effects on the consolidated result, please refer to the reconciliation statement from the consolidated loss to the adjusted earnings per share in the presentation of business performance.

Earnings position of CHAPTERS Group AG (parent company)¹⁴

CHAPTERS Group AG operates primarily as a holding company. Revenue of EUR 0.06 million in the first half of 2024 results from supporting subsidiaries in the context of due diligence and contract negotiations for the acquisition of an operating company.

The **interest income** from the shareholder loans granted (including loans to companies in which CHAPTERS Group AG holds a minority interest), as well as interest-like income from affiliated companies, totals EUR 4.35 million (previous year period: EUR 2.58 million). Of this, an amount of EUR 0.06 million (previous year period: EUR 0.04 million) is included in the income from loans from financial assets¹⁵. The significant increase in interest income reflects the investment activity in the second half of 2023 and the first half of 2024 and the resulting increase in the shareholder loans provided by CHAPTERS Group AG for the acquisition. Interest income of EUR 0.25 million was generated on sight deposits and fixed-term deposits in the first half of 2024 (previous year period: EUR 0.04 million).

The **interest expenses** for the reporting period amount to EUR 0.96 million (previous year: EUR 0.88 million) for the perpetual bond issued by the company. The company held 50% of the bond until it was re-issued in May 2023.

The shares in the perpetual bond held since April 2024 in a nominal amount of EUR 9.00 million result in an interest income of EUR 0.13 million. In the same period last year, an income of EUR 0.36 million

¹⁴ The notes on the earnings situation of CHAPTERS Group AG are included in the audit review of the interim consolidated financial statements; an audit review of the individual financial statements has not taken place.

¹⁵ Reported in other interest and income in the interim financial statements as of June 30, 2023. The reclassification was carried out as part of the preparation of the 2023 consolidated financial statements.

was generated here. Until May 2023, CHAPTERS Group AG held a nominal volume of EUR 12.50 million in the bond. Both positions have no impact on liquidity.

CHAPTERS Group AG's **securities result** in the first half of 2024 amounts to EUR 1.74 million (previous year period: EUR 0.24 million) and consists of EUR 2.27 million in realized income (previous year period: EUR 1.04 million), which, together with the reversal of write-downs on securities made in the previous year in the amount of EUR 0.22 million (previous year period: EUR 0.69 million), are included in **other operating income**. **Depreciation on financial assets and securities held as fixed assets** amount to EUR 0.75 million as of June 30, 2024 (previous year period: EUR 0.91 million).

Losses from the disposal of fixed assets were not realized in the first half of 2024; the figure for the first half of 2023 of in total EUR 1.49 million includes EUR 0.89 million in book losses from the re-issue of the perpetual bond in May 2023. The previous year's period also includes EUR 0.42 million in **income from dividends and income from bond investments**.

The costs of CHAPTERS Group AG, as an individual company, mainly consist of personnel expenses and the legal and consulting costs included in **other operating expenses** as well as costs incurred due to the company's legal structure.

Personnel expenses in the first half of 2024 amounted to EUR 2.21 million (previous year period: EUR 0.24 million). Of this, EUR 1.90 million is related to provisions created in connection with share-based compensation under a "Virtual Share Option Plan" ("VSOP"). Further increase in personnel expenses is due to the recruitment of additional employees at the level of CHAPTERS Group AG. Not included are the personnel expenses for the position of Chief Operating Officer Vertical Market Software created in March 2024. The personnel expenses are borne by a 100% subsidiary of the AG and invoiced to CHAPTERS Group AG. The amount is included in other operating expenses in the individual financial statements of CHAPTERS Group AG.

Other operating expenses amounted to EUR 1.00 million in the first half of the year compared to EUR 2.16 million for the same period last year, with the previous year's figure, including losses from the disposal of securities amounting to EUR 1.49 million. The increase in ordinary operating expenses by EUR 0.34 million is due, among other things, to the costs for the COO Vertical Market Software, the costs for the capital increase against contribution in kind carried out in the first half of 2024, as well as increased costs for the preparation and audit of the financial statements and the increase in Supervisory Board remuneration approved by the 2023 Annual General Meeting.

Overall, the company reported a **half-year profit** of EUR 2.27 million as of June 30, 2024 (previous year period: EUR 0.65 million). The **balance sheet loss** thus decreased to EUR 4.33 million (December 31, 2023: EUR 6.60 million).

B. Risk and Opportunity Report

CHAPTERS Group AG pursues the goal of sustainably increasing the Group's value in the long term. To this end, the existing portfolio of operating companies is to be further expanded in the coming years and the value of the existing portfolio companies is to be continuously increased.

In general, CHAPTERS Group AG, as a Group, benefits from the diversified composition of the operating portfolio companies so that positive developments in other companies can mitigate the effects of individual operating companies potentially failing to meet development goals.

The main opportunities and risks for the Group as a whole and for CHAPTERS Group AG as the parent company result primarily from further growth through the acquisition of additional portfolio companies and are presented in the combined management report for the 2023 financial year.

The assessment of the opportunities and risks in the reporting period remained the same as the opportunities and risks presented in the combined management report for the 2023 financial year.

C. Outlook report

Due to the continued strong focus on the inorganic growth of the group through the development of additional platform companies and investments in new operating companies, forecasting the development of CHAPTERS Group AG as a group remains challenging for the second half of 2024. The group is developing dynamically and is seizing opportunities where it considers them to be sensible - and where it is in a position to finance them.

In the second half of 2024, four more companies have become part of the group, all from the software sector. Due to the management buyout of ENTRO Group in September 2024, five operating companies are no longer part of the consolidation group.

In total, 45 companies belong to the group, which achieved revenue of around EUR 107 million and an operating EBITDA (adjusted) of around EUR 28 million in the 2023 financial year. For the 2024 financial year, we continue to assume that the sales and EBITDA (adjusted) of the group companies will be stable to slightly positive compared to the previous year.

We assume that the group will continue to develop dynamically in the remaining months of 2024 and that further companies will become part of the group.

With regard to the operating costs of CHAPTERS Group AG, the company continues to assume that the costs will amount to around EUR 2.75 million for the full year 2024. Share-based compensation is not taken into account.

Hamburg, October 11, 2024



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Jan-Hendrik Mohr (Chairman)



.....
Marlene Carl



**Condensed
consolidated interim financial statements
as of
June 30, 2024**

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CHAPTERS Group AG – INTERIM CONSOLIDATED FINANCIAL STATEMENTS 2024

CONSOLIDATED BALANCE SHEET as of June 30, 2024

	06/30/2024 Euro '000	12/31/2024 Euro '000
A. Fixed assets	202,509.18	154,448.72
I. Intangible assets	136,479.03	117,087.11
1. Purchased concessions, industrial rights and similar rights and assets <i>thereof from purchase price allocation</i>	21,142.97	17,210.68
2. Goodwill	18,698.12	15,590.82
3. Advance payments on intangible assets	115,320.87	99,861.23
	15.19	15.19
II. Property, plant and equipment	8,219.35	7,074.61
1. Land / Buildings	1,221.53	1,205.94
<i>thereof from purchase price allocation</i>	135.63	121.51
2. Technical equipment and machinery	973.35	813.33
3. Other fixtures and fittings, operating and office equipment	4,738.58	4,397.69
4. Payments on accounts and assets under construction	1,285.90	657.65
III. Financial assets	57,810.80	30,287.01
1. Shares in associated companies	38,004.35	15,586.76
2. Shares in affiliated companies (not consolidated)	1,217.63	1,217.63
3. Loans to companies in which a participation is held	1,729.40	1,375.45
4. Other participations in companies	25.00	25.00
5. Securities held as fixed assets	8,503.67	11,793.07
6. Shares of perpetual bond in own portfolio	8,330.75	0.00
7. Other loans classified as financial assets	0.00	289.10
B. Current assets	56,447.66	65,726.80
I. Inventories	4,545.36	3,964.69
1. Raw materials and supplies	634.27	622.87
2. Work in progress, unfinished services	899.00	971.90
3. Finished products and goods	2,950.44	2,368.13
<i>thereof from purchase price allocation</i>	2,527.49	1,897.14
4. Advance payments made	61.65	1.78
II. Receivables and other assets	13,448.27	10,918.91
1. Trade accounts receivable	8,947.95	7,697.56
2. Receivables from companies in which a participation is held	286.40	241.91
3. Other assets	4,213.92	2,979.45
III. Cash on hand, bank balances	38,454.02	50,843.20
C. Accrued items	2,571.69	3,533.03
D. Deferred tax assets	244.43	237.75
Total assets	261,772.96	223,946.31
A. Equity	143,170.33	124,079.38
I. Subscribed capital	19,547.71	18,149.19
II. Capital reserves	148,611.71	125,344.75
III. Exchange rate differences from revaluation	1,018.13	853.76
IV. Loss carried forward	-18,322.96	-14,207.01
V. Net loss for the year	-4,476.32	-4,084.09
VI. Non-controlling interests	-3,207.95	-1,977.22
B. Provisions	15,601.93	10,385.66
1. Pension provisions	43.27	0.00
2. Tax provisions	5,757.92	4,119.43
3. Other provisions	9,800.74	6,266.23
<i>thereof for share-based compensation</i>	2,772.15	867.5
<i>thereof for potential additional purchase price payments (earn-outs, transaction fees)</i>	3,632.22	2,485.00
C. Liabilities	83,888.17	80,301.36
1. Bond	25,000.00	25,000.00
2. Amounts owed to credit institutions	46,454.50	29,426.02
3. Advance payments received on orders	190.03	364.51
4. Trade accounts payable	2,870.41	3,064.81
5. Other liabilities	9,373.24	22,446.02
<i>thereof from seller loans</i>	2,521.32	14,922.70
<i>thereof owed to minority shareholders</i>	2,744.63	3,259.50
D. Deferred income	12,908.16	4,077.31
E. Deferred tax liabilities	6,204.37	5,102.61
Total equity and liabilities	261,772.96	223,946.31

	01/01/ - 06/30/24 Euro '000	01/01/ - 06/30/23 Euro '000	01/01/ - 12/31/23 Euro '000
1. Revenue	50,020.76	33,654.51	70,766.28
2. Increase or decrease of inventories of finished and unfinished goods and work in progress	-981.03	-582.3	-1,094.88
<i>thereof from purchase price allocation</i>	-730.96	-364.76	-738.99
<i>thereof other changes</i>	-250.07	-217.55	-355.88
Total output	49,039.73	33,072.20	69,671.40
3. Other operating income	3,343.91	2,212.35	7,558.93
<i>thereof income from the disposal of and from write-ups of fixed assets</i>	2,592.19	1,808.67	6,386.43
4. Cost of materials	-9,134.84	-5,644.26	-11,869.69
a) Expenses for raw materials, supplies and purchased goods	-4,239.86	-2,090.72	-4,760.31
b) Expenses for purchased services	-4,894.97	-3,553.54	-7,109.39
5. Personnel expenses	-24,263.06	-16,995.76	-36,970.26
a) Wages and salaries	-20,130.14	-13,802.82	-30,574.89
<i>thereof for share-based compensation</i>	1,904.65	0.00	-867.5
b) Social security contributions and expenses for pensions and other benefits	-4,132.92	-3,192.94	-6,395.37
<i>thereof for pensions</i>	-147.53	-76.66	-139.99
6. Depreciation and Amortization	-8,810.40	-5,623.73	-12,474.52
a) On intangible assets and property, plant and equipment	-8,810.29	-5,623.63	-12,448.94
<i>thereof on assets from purchase price allocation</i>	-1,439.25	-929.77	-2,009.57
<i>thereof on goodwill</i>	-6,307.17	-4,154.86	-8,954.06
b) On current assets	-0.11	-0.10	-25.57
<i>(as far as these exceed the amount that is customary for the company)</i>			
7. Other operating expenses	-11,759.27	-8,234.12	-17,594.17
<i>thereof losses from the disposal of fixed assets</i>	-2.04	-1,493.25	-2,306.08
Earnings before interest and taxes	-1,583.92	-1,213.32	-1,678.30
8. Results from associated companies	-129.85	306.68	1,194.66
9. Income from other securities and from loans classified as financial assets*	55.83	463.32	694.84
<i>thereof from companies in which a participation is held</i>	55.67	43.64	93.83
10. Other interest and similar income*	548.64	501.56	828.54
<i>thereof from own shares in the perpetual bond</i>	134.16	362.78	362.78
<i>thereof from companies in which participations are held</i>	8.40	5.43	10.95
11. Depreciation on financial assets	-750.21	-908.29	-1,529.15
<i>thereof impairment losses</i>	-750.21	-908.29	-1,529.15
12. Interest and similar expenses	-2,513.21	-1,854.18	-4,223.52
<i>thereof for perpetual bond</i>	-959.26	-881.3	-1,836.49
13. Taxes on income and earnings	-1,508.03	-1,480.24	-1,651.51
<i>thereof from the reversal of deferred tax assets and liabilities</i>	627.81	362.63	604.83
Earnings after taxes	-5,880.74	-4,184.47	-6,364.44
14. Other taxes	-27.52	-11.09	-26.28
(Half-) year deficit	-5,908.26	-4,195.56	-6,390.72
Attributable to other shareholders	-1,431.94	-1,198.82	-2,306.62
Consolidated (half-) year deficit	-4,476.32	-2,996.73	-4,084.09

* Deviations from the figures published in the 2023 interim consolidated financial statements result from a correction of the allocation between income from other securities and from loans held as financial assets and interest income and are commented on in the notes to the consolidated income statement.

	Attributable to the shareholders of the parent company					Non-controlling interests					Consolidated Equity Euro '000
	Share capital Euro '000	Capital reserve Euro '000	Exchange rate difference from revaluation Euro '000	Loss carried forward / consolidated net loss Euro '000	Total Euro '000	Non-controlling interests before revaluation reserve, equity difference from currency translation and annual result Euro '000	Revaluation reserve Euro '000	Exchange rate difference from revaluation Euro '000	Profit and loss attributable to non-controlling interests Euro '000	Total Euro '000	
As of January 01, 2024	18,149.19	125,344.75	853.76	-18,291.10	126,056.60	1,075.22	1,566.18	213.44	-4,832.06	-1,977.22	124,079.38
Capital increase 03/2024	1,398.51	23,229.31			24,627.82						24,627.82
Profit distributions											
Changes in the scope of consolidation											
Change in value from currency translation			164.37		164.37			41.27		41.27	205.64
Other changes		37.65		-31.85	5.80	156.02			31.85	187.87	193.66
Group result				-4,476.32	-4,476.32				-1,431.94	-1,431.94	-5,908.26
As of June 30, 2024	19,547.70	148,611.71	1,018.13	-22,799.27	146,378.28	1,231.23	1,566.18	254.71	-6,260.07	-3,207.95	143,170.33

The amount attributable to the non-controlling interests before the revaluation reserve, equity difference from currency translation and annual result corresponds to the proportionate interest of the respective minority shareholder in the share capital and the capital reserve of the subsidiaries concerned. The shares in the capital reserve result mainly from payments by minority shareholders into the capital reserve of the acquisition companies as part of the transaction structures. In the 2024 financial year, minority shareholders paid a total of EUR 124.91 thousand into the capital reserves of subsidiaries as part of capital increases, which are also proportionately attributable to the Group. The shares of other shareholders in the revaluation reserve result from capital consolidation. To the extent that minority shareholders have a direct interest in the acquired company, their share from the purchase price allocation is shown here. The shares in the items attributable to the Group are eliminated as part of capital consolidation. The item currency difference from revaluation results from the Czech subsidiary, which has been part of the Group since the 2023 financial year. Different exchange rates in the valuation at the time of acquisition and the preparation of the consolidated financial statements result in a difference in the revalued assets from purchase price allocation, which is offset via this item. In addition to the above-mentioned payment into the capital reserve, the other changes include disproportionate payments by CHAPTERS Group AG into the capital reserve of subsidiaries, some of which are attributable to minority shareholders, as well as minor changes in shares in the context of mergers of subsidiaries. The profit distributions took place at the level of subsidiaries in which there is a direct interest by minority shareholders. The share attributable to the Group is offset against equity, the share of these payments attributable to minority shareholders is shown in the non-controlling interests in equity.

	01/01/- 06/30/24 Euro '000	01/01/- 06/30/23 Euro '000	01/01/- 12/31/23 Euro '000
Net income (including minority interests)	-5,908.26	-4,195.56	-6,390.72
Release of order backlog /inventory from the purchase price allocation	730.96	364.76	738.99
Depreciation/Appreciation on property, plant, and equipment	797.60	346.64	1,045.01
<i>thereof to assets disclosed as part of the purchase price allocation</i>	<i>14.12</i>	<i>7.18</i>	<i>0.17</i>
Depreciation/ Appreciation on financial assets	530.74	217.49	-1,014.25
Depreciation/ Appreciation on intangible assets	8,012.69	5,276.99	11,403.93
<i>thereof on assets identified as part of the purchase price allocation</i>	<i>1,425.13</i>	<i>922.59</i>	<i>2,009.40</i>
<i>thereof on goodwill</i>	<i>6,298.55</i>	<i>4,154.86</i>	<i>8,954.06</i>
Increase/decrease in provisions	1,628.84	-319.22	1,184.36
Other non-cash expenses/income	283.41	-169.87	-1,237.86
Increase/decrease in inventories, accounts receivable and other assets (unless investing/financing activity)	-125.97	-2,641.77	-2,445.33
Increase/decrease in accounts payable and other liabilities (unless investing/financing activity)	3,297.18	4,358.55	2,384.31
Profit/loss from disposal of fixed assets	-2,370.68	380.39	-1,536.94
Interest expenses/Interest income	1,908.89	971.32	3,394.98
Income from securities and loans classified as financial assets	-0.16	-82.02	-694.83
Income tax expense/income	2,135.84	1,842.87	2,256.33
Income tax payments	-1,481.87	-898.26	-1,002.54
Reversal of deferred taxes from purchase price allocation	-609.59	-362.63	-718.61
Cash flow from operating activities	8,829.61	5,089.68	7,366.85
Proceeds from disposal of intangible assets	0.00	0.00	0.00
Payments for investments in intangible assets	-31.81	-104.02	-1,090.21
Proceeds from disposal of property, plant and equipment	56.53	71.34	259.77
Payments for investments in property, plant and equipment	-1,676.65	-716.55	-2,465.23
Proceeds from disposal of financial assets	7,800.51	19,381.60	29,674.59
Payments for investments in financial assets	-19,168.86	-14,205.62	-18,111.84
Payments for additions to the scope of consolidation	-22,441.12	-25,278.44	-52,004.04
Proceeds from disposal from the scope of consolidation	0.00	0.00	5,061.11
Interest and dividend payments received	451.37	665.85	2,336.76
Cash flow from investing activities	-35,010.02	-20,185.84	-36,339.10
Proceeds from corporate actions of CHAPTERS Group AG	0.00	6,316.92	35,372.12
Proceeds from equity contributions from other shareholders	149.91	5.00	340.12
Change in liabilities to shareholders	-637.55	-53.71	514.89
Payments to company owners and minority shareholders	-27.92	-11.11	-658.23
Proceeds from the issue of bonds and taking out (financial) loans	31,634.96	25,439.22	27,209.40
Payments from the repayment of bonds and (financial) loans	-16,900.95	-9,944.90	-12,934.67
Interest paid	-1,378.37	-986.53	-1,690.79
Cash flow from financing activities	12,840.09	20,764.89	48,152.84
Changes in cash and cash-equivalents	-13,340.31	5,668.72	19,180.58
Cash and cash equivalents at the beginning of the period	50,854.83	26,278.50	26,278.50
Exchange rate and valuation-related changes in cash and cash equivalents	-11.63	0.00	0.00
Consolidation-related changes in cash and cash equivalents	951.14	1,944.21	5,384.12
Cash and cash equivalents at the end of the period	38,454.02	33,891.42	50,843.20

The cash and cash equivalents correspond to the balance sheet item "Cash on hand and bank balances". Of this, an amount of EUR 120.00 thousand (December 31, 2023: EUR 120.00 thousand) is deposited as security for a bank guarantee issued by CHAPTERS Group AG and is subject to corresponding restrictions on disposal. An amount of EUR 3,136.02 thousand (December 31, 2023: EUR 1,797.58 thousand) is held by subsidiaries where the consent of minority shareholders is required for the disposal of the funds. Other non-cash income (previous year expenses) mainly includes the result from associated companies. Further information on the development of the Group's liquidity position can be found in the management report. The exchange rate-related changes in the cash position result from the Czech subsidiary belonging to the Group and the liquid assets located there.

A. General disclosures

CHAPTERS Group AG (formerly MEDIQON Group AG) is based in Hamburg (formerly Königstein im Taunus) and is registered in the commercial register at the Hamburg District Court under register number HRB 182147 (formerly the Königstein im Taunus District Court under register number HRB 4906). The company's shares have been traded on the open market of the Frankfurt Stock Exchange since June 3, 2005 (WKN 661 830). The open market is not an organized market within the meaning of Section 2 (11) WpHG.

CHAPTERS Group AG invests – usually indirectly through subsidiaries – in companies currently exclusively based in Europe. As of the reporting date, the company directly or indirectly holds majority shares in 90 companies (December 31, 2023: 78), 49¹ of which are operating companies (December 31, 2023: 42). As of the balance sheet date, the company has six minority interests in which it holds more than 20% (December 31, 2023: five), one of which is a German listed stock corporation and, since March 2024, a plc listed at the London Stock Exchange (AIM). The companies in which CHAPTERS Group AG holds a majority interest are, as far as they are based in Germany, primarily small corporations according to Section 267 (1) of the German Commercial Code (HGB). In the first half of 2024, one company that meets the criteria of being a medium-sized corporation according to Section 267 (2) of the German Commercial Code (HGB) became part of the scope of consolidation.

The interim consolidated financial statements for the period from January 1, 2024, to June 30, 2024, are prepared in accordance with the provisions of the German Commercial Code (HGB) and the German Stock Corporation Act (AktG) and include the consolidated balance sheet, the consolidated income statement, the consolidated cash flow statement, the consolidated statement of changes in equity and the consolidated notes (including the consolidated fixed asset schedule and schedule of liabilities). When using rounded amounts and percentages, differences may arise due to commercial rounding. The financial year of CHAPTERS Group AG and the majority of the subsidiaries begins on January 1 and ends on December 31.

Two companies based in France that became part of the group in the current financial year report a different financial year. The change is planned for the 2025 financial year. Both companies only became part of the group after the local closing date on March 31, 2024. The consolidated income statement is prepared – like the income statement of the included companies – using the total cost method.

The interim group management report of the CHAPTERS Group AG Group was combined with the interim management report of the CHAPTERS Group AG in application of Section 315 (5) HGB in conjunction with Section 298 (2) HGB.

¹ The deviations from the value in the combined management report result from the combination of several legal entities into one operating unit or vice versa.

B. Scope of consolidation and consolidation methods

Scope of consolidation

In accordance with Section 294 (1) of the German Commercial Code (HGB), all companies in which CHAPTERS Group AG holds more than 50% of the capital, either directly or indirectly, as of June 30, 2024, are included in the consolidated financial statements. Companies, in which CHAPTERS Group AG's indirect share is less than 50%, but more than 50% of the capital is held by a group company at each level of the investment chain, are also included. Companies in which CHAPTERS Group AG holds less than 50% of the capital, but holds more than 50% of the voting rights, do not exist as of June 30, 2024.

As of June 30, 2024, the scope of consolidation includes the parent company and 84 companies (December 31, 2023: 72 companies), which are fully consolidated. As was the case as of December 31, 2023, two companies are not included in the consolidated financial statements with reference to Section 296 (1) No. 2 of the German Commercial Code (HGB), and four companies are not included in the consolidated financial statements with reference to Section 296 (2) of the German Commercial Code (December 31, 2023: four companies).

68 companies are based in Germany, three companies in Austria (one acquisition company and two operating companies) and one company in the Czech Republic (operating company). The Czech company also holds 100% of the shares in a company based in the Slovak Republic. Eight companies (one investment platform, two acquisition companies and five operating companies) are based in France (December 31, 2023: three). In the 2024 financial year, as part of the acquisition of GBS Europa GmbH, a subsidiary based in Great Britain became part of the group, as well as one subsidiary each based in Bulgaria and the USA, which are no longer operating and are to be liquidated. CHAPTERS Software Switzerland GmbH, based in Switzerland, has started its business activities.

Six companies (previous year: five companies) in which CHAPTERS Group AG indirectly holds more than 20% but less than 50% of the capital are included in the consolidated financial statements as associated companies using the equity method.

Nr.	Company	Registered office	Category	Share CHAPTERS Group AG	Participation via No.	Share direct parent company	Part of the group since	Included in cons. fin. statements 2023
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Parent company

1	CHAPTERS Group AG	Hamburg						
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Direct participation

2	MEDIQON Beteiligungsgesellschaft mbH	Hamburg	Investment holding	100.00	1	100.00	Feb 19	✓
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Indirect participations (Level 1)

3	NGC Nachfolgekapital GmbH	Munich	Platform company	80.00	2	80.00	Mar 19	✓
4	Ookam Software GmbH	Berlin	Platform company	80.00	2	80.00	May 19	✓
5	CarMa Holding GmbH	Aalen	Platform company	80.00	2	80.00	Jun 21	✓
6	mlog capital SAS	Le Bouscat, France	Platform company	80.00	2	80.00	Dec 23	✓
7	MEDIQON Beteiligungen Management GmbH	Hamburg	Management GmbH	100.00	2	100.00	Aug 22	✓
8	MEDIQON Beteiligungen 1 GmbH & Co. KG	Hamburg	Platform company	100.00	2	100.00	Aug 22	✓

9	Fintiba GmbH	Frankfurt	Operating company	55.00	2	55.00	Dec 21	✓
10	Kältehelden GmbH	Hamburg	Operating company	80.00	2	80.00	Aug 20	✓
11	CHAPTERS Software Switzerland GmbH	Zurich	Platform company	100.00	2	100.00	Oct 23	
12	Altamount Software GmbH	Berlin	Platform company	87.50	2	87.50	Jun 24	

Indirect participations under NGC Nachfolgekapital GmbH (No. 3)

13	GfW Gesellschaft für Weiterbildung mbH	Berlin	Acquisition company	62.27	3	77.84	Dec 20	✓
14	Speakeasy Berlin GmbH	Berlin	Operating company	62.27	13	100.00	Dec 20	✓
15	Speakeasy Munich GmbH	Munich	Operating company	54.80	13	88.00	Mar 21	✓
16	Strassenberger Akademie GmbH	Berlin	Operating company	49.82	13	80.00	Mar 21	✓
17	Kunstschule Wandsbek GmbH	Hamburg	Operating company	62.27	13	100.00	Mar 21	✓
18	Die Neue Schule GbR ¹	Berlin	Operating company	62.27	3	100.00	Apr 23	pro-rata
19	NGC CNC Beteiligungen GmbH	Alfdorf	Acquisition company	68.00	3	85.00	Apr 21	✓
20	Direkt CNC-Systeme GmbH	Alfdorf	Operating company	68.00	19	100.00	May 21	✓
21	NGC Immobilien Management GmbH	Munich	AssetCo *	80.00	3	100.00	Nov 22	✓
22	ENTRO Invest GmbH	Munich	Acquisition company	52.00	3	65.00	Jul 22	✓
23	ENTRO Service GmbH	Munich	Acquisition company	45.86	22	88.20	Aug 22	✓
24	ENTRO Süd GmbH	Munich	Acquisition company	45.86	23	100.00	Aug 22	✓
25	Wassermann GmbH	Nuremberg	Operating company	45.86	24	100.00	Sep 22	✓
26	Torpado GmbH	Dortmund	Operating company	45.86	23	100.00	Jul 23	pro-rata
27	Gebr. Kuttner GmbH	Quickborn	Operating company	45.86	23	100.00	Dec 23	pro-rata
28	ITS Industrie Tore Service GmbH	Krefeld	Operating company	45.86	23	100.00	Aug 23	pro-rata
29	KHT Industriepartner GmbH & Co. KG	Hamburg	Operating company	45.86	23	100.00	Sep 23	pro-rata
30	KHT Industriepartner Management GmbH	Hamburg	Management GmbH	45.86	23	100.00	Sep 23	pro-rata

Indirect participations under Ookam Software GmbH (No. 4)

31	OSW Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Jul 19	✓
32	Parity Software GmbH	Eberdingen-Hochdorf	Operating company	72.00	31	100.00	Aug 19	✓
33	GAIN Software GmbH	Schönbrunn i. Stgw.	Operating company	72.00	31	100.00	Jul 23	pro-rata
34	CSB - Bruns & Börjes GmbH	Augustfehn	Operating company	72.00	31	100.00	Jan 24	
35	OSW 2 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Jul 19	✓
36	gripware datentechnik gmbh	Hemshofen	Operating company	80.00	35	100.00	Dec 19	✓
37	OSW 3 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Sep 19	✓
38	SWH Softwarehaus Heider GmbH	Bad Abbach	Operating company	80.00	37	100.00	Dec 19	✓
39	Software und Beratung Meinhardt GmbH	Eschwege	Operating company	72.80	37	91.00	Dec 22	✓
40	OSW 4 Ookam Beteiligungs GmbH	Berlin	Acquisition company	79.20	4	99.00	Aug 20	✓
41	BleTec Software GmbH	Roßdorf	Operating company	79.20	40	100.00	Dec 20	✓

42	OPAS Software GmbH	Strullendorf	Operating company	80.00	4	100.00	Dec 20	✓
43	OSW 6 Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Mar 21	✓
44	DATEX Software GmbH	Karlsruhe	Operating company	72.00	43	100.00	Apr 21	✓
45	OSW 7 Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Mar 21	✓
46	Software24.com GmbH	Stephanskirchen	Operating company	72.00	45	100.00	Apr 21	✓
47	WAREHaus GmbH	Solingen	Operating company	72.00	46	100.00	Jun 22	✓
48	MWM Software & Beratung GmbH	Bonn	Operating company	64.80	45	90.00	Jun 23	pro-rata
49	Key Logic GmbH	Eschborn	Operating company	72.00	45	90.00	Aug 23	pro-rata
50	Littera Software & Consulting GmbH	Hall in Tirol, Austria	Operating company	72.00	45	100.00	Nov 23	pro-rata
51	Littera Software & Consulting GmbH	Munich	Operating company	72.00	50	100.00	Nov 23	pro-rata
52	OSW 8 Ookam Beteiligungs GmbH	Berlin	Acquisition company	64.00	4	80.00	Sep 21	✓
53	Corporate Montage Europe GmbH	Wiesbaden	Operating company	64.00	52	100.00	Sep 21	✓
54	OSW 9 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Nov 21	✓
55	elKom Solutions GmbH	Tuttlingen	Operating company	80.00	54	100.00	Dec 21	✓
56	OSW 10 Ookam Beteiligungs GmbH	Berlin	Acquisition company	72.00	4	90.00	Dec 21	✓
57	Voigt Software und Beratung AG	Ilfeld	Operating company	72.00	56	100.00	May 22	✓
58	OSW 11 Ookam Beteiligungs GmbH	Berlin	Acquisition company	80.00	4	100.00	Dec 21	✓
59	Condition Integrierte Softwarelösungen GmbH	Göttingen	Operating company	80.00	58	100.00	Jan 23	✓
60	rocom GmbH	Riedering	Operating company	80.00	58	100.00	Dec 23	✓
61	OSW 12 AT Ookam Beteiligungs GmbH	Vienna, Austria	Acquisition company	80.00	4	100.00	Feb 22	✓
62	Solarys Software GmbH	Vienna, Austria	Operating company	80.00	61	100.00	Feb 22 / Dec 22	✓
63	Utilities Systems s.r.o.	Prague, Czech Republic	Operating company	80.00	4	100.00	Apr 23	pro-rata
64	Usys Slovakia, s.r.o.	Banská Bystrica, Slovak Republic	Operating company	80.00	63	100.00	Apr 23	pro-rata
65	OSW 14 Ookam Beteiligungs GmbH	Berlin	Acquisition company	64.00	4	80.00	Jan 23	pro-rata
66	Teamware GmbH	Munich	Operating company	64.00	65	100.00	Mar 23	pro-rata

Indirect participations under CarMa Holding GmbH (No. 5)

67	CarrierWerke GmbH	Walldorf	Operating company	80.00	5	100.00	Aug 21	✓
68	Interactive Network Communications GmbH	Frankfurt	Operating company	80.00	5	100.00	Nov 21	✓
69	CarMa rental GmbH	Frankfurt	AssetCo *	80.00	5	100.00	Feb 22	✓
70	Ingenia Glasfaser GmbH	Kirchberg an der Jagst	Operating company	64.00	5	80.00	Sep 22	✓
71	CarMa networks GmbH	Frankfurt	Acquisition company	80.00	5	80.00	Apr 23	pro-rata
72	codewerke GmbH	Heubach	Operating company	80.00	5	100.00	Nov 23	pro-rata
73	Jobst NET GmbH	Amberg	Operating company	80.00	69	100.00	Aug 23	pro-rata

Indirect participations under mlog capital SAS (No. 6)

74	GI Informatique Holding SAS	Le Bouscat, France	Acquisition company	68.00	6	85.00	Dec 23	✓
75	GI Informatique SAS	Bouillargues, France	Operating company	68.00	76	100.00	Jan 24	
76	BG Informatique SAS	Metz, France	Operating company	68.00	76	100.00	May 24	
77	CSWIN Holding SAS	Le Bouscat, France	Acquisition company	64.00	5	80.00	Dec 23	✓
78	CSWIN SAS	Plérin, France	Operating company	64.00	79	100.00	Jan 24	
79	ACM2J SAS	Plérin, France	Operating company	64.00	79	100.00	Jan 24	
80	MAJELIS Tutelle SAS	Vienne, France	Operating company	64.00	79	100.00	Apr 24	

Indirect participations under Altamount Software GmbH (No. 12)

81	Altamount Beteiligungen I GmbH	Hamburg	Acquisition company	87.50	12	100.00	Jun 24	
82	GBS Europa GmbH	Karlsruhe	Operating company	87.50	81	100.00	Jun 24	
83	Group BusBS (UK) Ltd.	Manchester, Great Britain	Operating company	87.50	82	100.00	Jun 24	
84	GBS Bulgaria EOOD	Sofia, Bulgaria	No longer operating**	87.50	82	100.00	Jun 24	
85	GBS Solutions North America LLC	Delaware, USA	No longer operating**	87.50	82	100.00	Jun 24	

* Companies own and lease property, plant and equipment to other subsidiaries within the group

**Subsidiaries of GBS Europa GmbH that are no longer operational and are to be liquidated following the acquisition.

¹ Die Neue Schule GmbH, which was included in the previous year, was merged into its parent company, GfW Gesellschaft für Weiterbildung mbH, in the 2024 financial year.

Waiver of inclusion

For four companies, inclusion was waived with reference to Section 296 (2) HGB due to their minor importance for the consolidated financial statements. As in the financial year 2023, NGC Services GmbH, based in Munich, a wholly owned subsidiary of NGC Nachfolgekapital GmbH, founded in 2022, was not operational in the first half of 2024. The same applies to OSW 15 Ookam Beteiligungs GmbH, founded in 2024. The acquisition costs for both companies correspond to the respective share capital. CHAPTERS Software Switzerland GmbH, which was not consolidated in the previous year, started operations in the 2024 financial year and is included in the scope of consolidation.

Tilia Software GmbH, based in Ilsfeld, is a 50% subsidiary of Voigt Software und Beratung AG, which was not operating in the 2023 financial year. rocom service GmbH, based in Riedering, is a 50% subsidiary of rocom GmbH, which carried out development work for the parent company in the 2023 financial year. The costs incurred there are included in the parent company's material expenses. Both companies were also not included in the consolidated financial statements for the consolidated financial statements as of December 31, 2023 and are reported under other investments with their investment book value of a total of EUR 25.00 thousand (corresponds to the proportionate share capital).

For two companies, inclusion was waived with reference to Section 296 (1) No. 2 of the German Commercial Code (HGB). Glasfaser Direkt GmbH, based in Cologne, and EIFEL-NET GmbH (formerly EFN eifel-net Internet-Provider GmbH), based in Euskirchen, each filed for insolvency in February 2023. As part of the insolvency proceedings, CarMa Holding GmbH acquired 100% of the shares in both companies. In order to prepare the balance sheets for the companies as of June 30, 2024, the final balance sheets to be prepared by the insolvency administrator after the conclusion of the insolvency proceedings (as of August 31, 2023) are necessary, which were not yet available at the

time the financial statements were prepared. Inclusion is therefore waived in view of the delays that would otherwise arise. The two companies are reported under financial assets, with their investment book value amounting to EUR 1,217.63 thousand (December 31, 2023: EUR 1,217.63 thousand) under shares in affiliated companies.

Associated companies

No.	Company	Registered office	Category	Share CHAPTERS Group AG	Participation via No.	Share direct parent company	Part of the group since	Included in cons. fin. statements 2023
86	NPV Nachfolge Beteiligungen GmbH ¹	Dorsten	Acquisition company	44.00	1	44.00	Jan 19	✓
87	MedNation AG	Bonn	Operating company	20.00	1	20.00	Nov 21 ²	✓
88	VEIL VariETY in Colours GmbH	Hamburg	Operating company	49.80	2	49.80	Aug 22	✓
89	TraFin Scout GmbH	Frankfurt am Main	Operating company	33.09	2	33.09	Aug 22 ³	✓
90	Global Heart Beteiligungsgesellschaft mbH	Frankfurt am Main	Investment holding	48.89	8	48.88	Aug 22	✓
91	Software Circle plc	Manchester, Great Britain	Platform company	29.90	1	29.90	Mar 24 ⁴	

¹ NPV Nachfolge Beteiligungen GmbH holds 100% of the shares in E-M-C direct GmbH & Co KG and the associated general partner, NVP Elektroinstallationen Handel GmbH.

² CHAPTERS Group AG has held shares in **MedNation AG** (formerly Eifelhöhen-Klinik AG) since August 2020. The 20% threshold was exceeded for the first time in November 2021.

³ CHAPTERS Group AG has held shares in **TraFin Scout GmbH** since April 2022. The 20% threshold was exceeded for the first time in August 2022.

⁴ CHAPTERS Group AG has held shares in **Software Circle plc** since September 2023. The value of 20% was exceeded for the first time in March 2024.

Changes in the scope of consolidation

In addition to the additions to the scope of consolidation resulting from the overview of the scope of consolidation, the indirect shareholding of CHAPTERS Group AG in the following companies changed in the first half of the year:

No.	Company	Registered office	Category	Share CHAPTERS Group AG 2024	Share CHAPTERS Group AG 2023	Participation via No.
19	NGC CNC Beteiligungen GmbH	Alfdorf	Acquisition company	68.00	72.00	3
20	Direkt CNC-Systeme GmbH	Alfdorf	Operating company	68.00	72.00	19
90	Global Heart Beteiligungsgesellschaft mbH	Frankfurt am Main	Investment holding	48.89	41.73	8

Capital consolidation

Capital consolidation for companies acquired or founded by CHAPTERS Group AG directly or indirectly from third parties is carried out using the acquisition method in accordance with Section 301 of the German Commercial Code (HGB). The valuation at the direct parent company of the acquired and founded company is offset against the amount of the revalued equity of the subsidiary attributable to these shares. Under the revaluation method used, the assets, liabilities, prepaid expenses, and extraordinary items to be included are valued at their fair value at the time of initial inclusion in the consolidated financial statements (which, with the exception of Fintiba GmbH, corresponds to the time of acquisition). For the revaluation of equity, a purchase price allocation

was made by CHAPTERS Group AG (with the support of Baker Tilly GmbH & Co. KG Wirtschaftsprüfungsgesellschaft). The revalued assets resulting from the purchase price allocation are accounted for in the consolidated financial statements at the level of the respective acquired subsidiary and amortized.

A positive difference between the valuation at the direct parent company and the equity of the subsidiaries revalued as part of the purchase price allocation is capitalized as goodwill for the consolidated financial statements and amortized at the level of the direct parent company.

The valuation is performed in accordance with Section 301 (2) of the German Commercial Code (HGB) at the time of acquisition of the respective subsidiary. If no interim financial statements are prepared at the time of acquisition for transactions that took place during the year, said statements are derived using the pro rata temporis method. Subsidiaries acquired in the first half of the financial year 2024 are only included proportionately in the consolidated income statement with the results achieved since the date of acquisition.

Non-controlling interests

In the group structure of CHAPTERS Group AG, minority shareholders have interests in the subsidiaries at several levels. According to Section 307 of the German Commercial Code (HGB), an adjustment item equal to the proportionate equity capital is created for the shares in a subsidiary to be included that are held by shareholders outside the group. The profits and losses attributable to non-controlling interest (including the results from capital consolidation and the resulting depreciation and amortization attributable to them) are reported separately in the consolidated income statement, and the adjustment item in equity is updated accordingly.

Consolidation of liabilities, expenses, and income and elimination of intermediate results

Receivables and liabilities, sales, expenses, and income within the scope of consolidation were eliminated. This includes, in particular, existing (shareholder) loans within the scope of consolidation as well as interest charged on them. There were no significant intermediate results from transactions between consolidated companies.

Foreign currency translation

When translating the financial statements of subsidiaries whose currency is not the euro, the modified reporting date exchange rate method is used in accordance with Section 308a of the German Commercial Code (HGB). The assets and liabilities are generally converted using the average spot exchange rate on the reporting date. Expenses and income are converted into euros at the average exchange rate. The equity items are converted using the historical rates applicable for the date of the initial consolidation. The currency translation differences are recognized directly in equity after reserves under "exchange rate differences from revaluation" until the disposal of the relevant unit.

Shares in associated companies

Shares in associated companies are accounted for using the at-equity method at acquisition cost, increased or decreased by the changes in equity in the associated company since acquisition. If the associated company prepares consolidated financial statements, these are used as the basis; otherwise, the individual financial statements are used. No adjustments are made for accounting and valuation methods applied in the relevant financial statements of the associated companies.

differing from those applied in the consolidated financial statements. The respective annual result after taxes is taken into account for the result of changes in the equity of associated companies. Profit distributions received are deducted. If the acquisition costs at the time of acquisition differ from the proportionately acquired equity capital, the passive difference or goodwill is released or amortized over 10 years and is included in the result from associated companies. If the cumulative loss of the respective company, since the investment by CHAPTERS Group AG exceeds the carrying value of the investment, the shares will be recognized at a value of EUR 1.00 until the loss is offset by the company's current income.

C. Summary of significant accounting policies

The consolidated financial statements of the Group are prepared on the basis of the individual financial statements of the fully consolidated subsidiaries included in the Group and the associated companies included using the at-equity method. If the associated company prepares consolidated financial statements, those are considered. For GBS Europa GmbH, the consolidated interim financial statements are included. For subsidiaries that are not based in Germany, significant differences between local accounting regulations and the German Commercial Code (HGB) are eliminated.

The accounting and valuation methods were applied in accordance with the accounting and valuation methods explained in the notes to the audited consolidated financial statements as of 31 December 2023 unless otherwise stated. Permissible valuation options are uniformly exercised in the consolidated financial statements, regardless of their application in the annual financial statements of the companies included in the consolidated financial statements, in accordance with Section 308 of the German Commercial Code (HGB).

D. Notes to the consolidated balance sheet

Fixed assets

The development of the individual fixed assets items, as well as the depreciation in the financial year within the Group, can be found in the consolidated fixed asset statement attached as an appendix to the Notes to the Consolidated Financial Statements.

Shares in associated companies are recognized at amortized value. For the amortized value, the acquisition costs are increased or reduced by the annual result attributable to CHAPTERS Group AG (or its direct subsidiaries), as well as the amortization of goodwill or the reversal of passive differences. If the cumulative loss of the respective company since the investment by CHAPTERS Group AG exceeds the carrying value, the shares will be recognized at a value of EUR 1.00 until the loss is offset by the company's current income. The difference between the amortized value (if negative) and the carrying value amounts to EUR 323.45 thousand (December 31, 2023: 323.69 thousand). If goodwill or a passive difference (if the acquisition costs are less than the equity of the company at the time of acquisition) arises from offsetting the acquisition costs with the share in the equity of the respective company, it will be amortized or released to profit or loss on a straight-line basis over 10 years from the time of acquisition. The amortization of the goodwill created in previous years in connection with associated companies amounts to a cumulative EUR 342.83 thousand, EUR 212.12 thousand thereof in the first half of 2024. As of June 30, 2024, the remaining

goodwill amounts to EUR 7,516.57 thousand (December 31, 2023: EUR 487.98 thousand), of which EUR 7,059.53 thousand is attributable to the investment in Software Circle plc acquired in the first half of 2024. The negative goodwill arising in the 2021 financial year amounts to EUR 425.41 thousand after reversal in the financial year as of June 30, 2024 (December 31, 2023: EUR 458.13 thousand).

The **goodwill** identified in the purchase price allocation developed as follows in the reporting period (figures in EUR thousand):

	Opening balance as of January 1, 2024	Inflow in the financial year (including changes to the scope of consolidation)	Outflow in the financial year // Transfers // Currency differences	Depreciation in the financial year	Closing balance as of June 30, 2024
From purchase price allocation	99,678.08	20,586.34	1.69	-6,298.55	113,967.55
From individual financial statements	183.15	1,178.78	0.00	-8.62	1,353.31
Total	99,861.23	21,765.12	1.69	-6,307.17	115,320.87

Finished products and goods from purchase price allocation

The order and contract backlog identified within the scope of the purchase price allocation developed as follows in the first half of 2024 (figures in EUR thousand):

Opening balance as of January 1, 2024	Inflow in the fiscal year	Outflow in the fiscal year	Dissolution in the financial year	Closing balance as of June 30, 2024
1,897.14	1,361.44	-0.12	730.96	2,527.49

Receivables and other assets

Trade accounts receivable amounting to EUR 8,947.95 thousand (December 31, 2023: EUR 7,697.56 thousand) exist at the level of the operating subsidiaries included in the consolidated financial statements.

The receivables from **companies in which a participation is held** amounting to EUR 286.40 thousand (December 31, 2023: EUR 241.91 thousand) are loans extended to companies in which a minority interest is held. The amount is fully attributable to retained interest on shareholder loans issued to the subsidiaries. The interest accruing on the shareholder loans can be retained or paid at the discretion of the subsidiaries. In principle, the subsidiaries plan to pay the interest. The interest receivables are, therefore, also reported under current assets.

Credit balances at credit institutions and cash on hand

The cash and cash equivalents of EUR 38,454.02 thousand (December 31, 2023: EUR 50,843.20 thousand) are mainly credit balances with credit institutions. Cash on hand of EUR 26.43 thousand (December 31, 2023: EUR 16.19² thousand) is included. An amount of EUR 18,122.22 thousand (December 31, 2023: EUR 26,953.03 thousand) is attributable to cash and cash equivalents of CHAPTERS Group AG as the parent company, while the cash and cash equivalents at the subsidiary level amount to EUR 20,331.80 thousand (December 31, 2023: EUR 23,890.17 thousand). There is no

² Deviation from the figures reported in the 2023 consolidated financial statements due to corrected account allocation.

cash pooling. For a detailed analysis of the changes in cash, please refer to the consolidated cash flow statement.

Accrued and deferred items

The deferred income items are created within the scope of the preparation of the half-year consolidated financial statements for the payments already received at the level of the operating subsidiary in the first half of 2024 for services that cover the entire financial year. Revenue from software maintenance contracts is particularly relevant here. As of June 30, 2024, the deferred income items amount to EUR 12,908.16 thousand (December 31, 2023: EUR 4,077.31 thousand). The majority of the deferred income will be reversed in the second half of 2024.

Prepaid expenses amount to EUR 2,571.69 thousand (December 31, 2023: EUR 3,533.03 thousand). EUR 1,859.04 thousand (December 31, 2023: EUR 2,818.31 thousand) thereof are expected interest expenses due to the reversal of the discount for the perpetual bond issued in June 2020 at the level of CHAPTERS Group AG as the parent company.

Equity

The detailed changes in equity are reported in the consolidated statement of changes in equity.

The **subscribed capital** of CHAPTERS Group AG amounts to EUR 19,547.71 thousand as of the reporting date (December 31, 2023: EUR 18,149.19 thousand) and is divided into 19,547,705 bearer shares. The increase in share capital by EUR 1,398.51 thousand through contributions in kind, as resolved on January 25, 2024, took place with registration on March 6, 2024. The **capital reserve** of CHAPTERS Group AG was increased by EUR 23,229.31 thousand within the scope of the capital increase in kind and amounts to EUR 148,421.50 thousand as of June 30, 2024 (December 31, 2023: EUR 125,192.19 thousand). As contribution in kind, the subscribers to the capital increase contributed a loan repayment claim against MEDIQON Beteiligungsgesellschaft mbH in the amount of EUR 10,353.12 thousand, as well as a total of 88,485.50 thousand shares in Software Circle plc. After taking the capital increase into account, the authorized capital of CHAPTERS Group AG (Authorized Capital 2023/I) approved by the 2023 Annual General Meeting amounted to EUR 4,984.86 thousand as of June 30, 2024 (December 31, 2023: EUR 6,383.37 thousand). Overall, the capital reserve in the Group increased from EUR 125,344.75 thousand to EUR 148,611.71 thousand. The difference compared to the capital reserve at the parent company level results from disproportionate payments into the capital reserve by minority shareholders in subsidiaries, which are explained in the consolidated statement of equity.

Provisions

The provisions amounting to EUR 15,601.93 thousand (December 31, 2023: EUR 10,385.66 thousand) are composed as follows:

	06/30/2024 EUR '000	12/31/2023 EUR '000
Pension provisions	43.27	0.00
Tax provisions	5,757.92	4,119.43
Other provisions	9,800.74	6,266.23
<i>thereof for annual accounts and audit</i>	<i>352.95</i>	<i>458.35</i>
<i>thereof for personnel costs (excluding share-based compensation)</i>	<i>617.64</i>	<i>530.88</i>
<i>thereof for share-based compensation at CHAPTERS Group AG level</i>	<i>2,772.15</i>	<i>876.50</i>
<i>thereof vacation accruals</i>	<i>672.86</i>	<i>267.88</i>
<i>thereof for guarantees</i>	<i>279.78</i>	<i>158.23</i>
<i>thereof for potential additional purchase price payments (earn-outs) and transaction costs</i>	<i>3,632.22</i>	<i>2,485.00</i>

Liabilities

The liabilities totaling EUR 83,888.17 thousand (previous year EUR 80,301.36 thousand) include EUR 25,000.00 thousand (previous year EUR 25,000.00 thousand) of the **perpetual bond** issued by CHAPTERS Group AG in May 2020. The nominal value of the bond is EUR 25 million. The issue discount of 35% was included in the active deferred income and will be released to profit or loss on a pro rata basis in accordance with the bond terms and conditions.

In April 2024, the company acquired a nominal amount of EUR 9 million at a price of 91.07% of the nominal value in a voluntary repurchase offer. The shares in the perpetual bond held by the company itself are reported under financial assets; there is no offsetting in accordance with Section 246 (2) sentence 1 of the German Commercial Code (HGB).

Amounts owed to credit institutions mainly relate to acquisition loans taken out to finance the acquisition of the operating companies. This financing is raised at the level of the acquisition companies or the operating companies themselves. If the financing was raised at the level of the acquisition company, it is usually secured by the acquisition company pledging the shares in the operating company or a guarantee from the operating company in favor of the financing bank. The amount secured by pledging shares amounts to EUR 8.00 million (December 31, 2023: EUR 8.81 million). Land charges were provided as collateral for an amount of EUR 0.67 million (December 31, 2023: EUR 0.99 million). There is no joint liability by other group companies or CHAPTERS Group AG ("ring-fencing"). In some cases, interest rate hedging transactions were concluded for the loans. The funds will be used to partially repay the shareholder loans provided by CHAPTERS Group AG as the parent company for the acquisition.

Trade accounts payable amounting to EUR 2,870.41 thousand (December 31, 2023: EUR 3,064.81 thousand) mainly include liabilities for purchased services and goods at the level of the operating companies.

Other liabilities include **seller loans** of EUR 2,521.32 thousand (December 31, 2023: EUR 14,922.70 thousand) resulting from the deferral of purchase prices in connection with the acquisition of

operating companies by the sellers. In addition, liabilities of subsidiaries of the CarMa Group to their sister company, Glasfaser Direkt GmbH, of EUR 779.42 thousand (December 31, 2023: EUR 664.42 thousand) are included. Since the consolidation of Glasfaser Direkt GmbH was waived with reference to Section 296 (1) No. 2 of the German Commercial Code (HGB), this liability remains included in the consolidated financial statements.

Also included are **liabilities to minority shareholders** in the amount of EUR 2,744.63 thousand (December 31, 2023: EUR 3,259.50 thousand). The shareholder loans from minority shareholders are granted on essentially the same terms as the shareholder loans of CHAPTERS Group AG.

The maturities of the liabilities are listed in the following statement of liabilities (figures in EUR thousand):

		Total	Up to 1 year	Between 1 and 5 years	More than 5 years
Bond	06/30/2024	25,000.00			25,000.00
	12/31/2023	25,000.00			25,000.00
Amounts owed to credit institutions	06/30/2024	46,454.50	7,912.36	30,718.72	7,823.42
	12/31/2023	29,426.02	7,116.09	21,791.41	518.52
Advance payments received on orders	06/30/2024	190.03	190.03		
	12/31/2023	364.51	364.51		
Accounts payable	06/30/2024	2,870.41	2,870.41		
	12/31/2023	3,064.81	3,064.81		
Other liabilities	06/30/2024	9,373.24	5,849.19		3,524.05
	12/31/2023	22,446.02	18,522.09		3,923.93
<i>thereof from seller loans</i>	06/30/2024	2,521.32	2,017.65	503.67	
<i>thereof from minority shareholders</i>	06/30/2024	2,744.63			2,744.63
<i>thereof from taxes</i>	06/30/2024	1,627.62	1,627.62		
<i>thereof from social security</i>	06/30/2024	248.82	248.82		
Liabilities	06/30/2024	83,888.17	16,821.99	30,718.72	36,347.47
	12/31/2023	80,301.36	29,067.50	21,791.41	29,442.45

Deferred tax liabilities

The deferred tax liabilities recognized in the balance sheet result primarily from the purchase price allocation in the course of preparing the consolidated financial statements and developed as follows in the reporting period (figures in EUR thousand):

Opening balance as of January 1, 2024	Inflows in the fiscal year	Outflows in the fiscal year	Currency-related changes	Closing balance as of June 30, 2024
5,102.61	1,723.66	609.59	-12.31	6,204.37

The deferred tax assets of EUR 244.43 thousand (December 31, 2023: EUR 237.75 thousand) result in the amount of EUR 203.97 thousand from internally developed intangible assets capitalized in the individual financial statements of a subsidiary, which are depreciated for tax purposes in accordance with local regulations. In the consolidated financial statements under the German Commercial Code (HGB), the internally developed intangible assets are not capitalized. In the 2023 financial year, an amount of EUR 46.85 thousand in deferred tax assets was created as a result of a lower valuation of property, plant, and equipment as part of the purchase price allocation compared to the value stated in the individual financial statements of the relevant company, which was reduced to EUR 40.47 thousand after being released pro-rata temporis in the first half of 2024.

Contingent liabilities

As of June 30, 2024, there are contingent liabilities of EUR 485.16 thousand (December 31, 2023: EUR 367.82 thousand) due to the assumption of maximum liability guarantees for leasing and supplier contracts of a subsidiary. Based on the business development of the subsidiary, no claims are expected.

E. Notes to the consolidated income statement

Due to the company's strong acquisition-based growth, the half-year consolidated financial statements include not only the profit and loss statement as of June 30, 2023, but also the profit and loss statement as of December 31, 2023, for comparison purposes. The change compared to June 30, 2023, is shown below, unless otherwise stated.

Revenue

Revenue is primarily generated through the sale of services as well as software licenses and associated maintenance contracts. Revenues are predominantly generated in Germany.

Of the Group's total revenue of EUR 50,020.76 thousand (previous year: EUR 33,654.51 thousand), EUR 25,472.07 thousand is attributable to the software and internet services sector (previous year: EUR 14,678.46 thousand), EUR 6,549.39 thousand to the financial services sector (previous year: EUR 0.00), EUR 7,752.94 thousand to the education sector (previous year: EUR 6,015.18 thousand) and EUR 10,207.37 thousand to industry-related services (previous year: EUR 12,960.86 thousand). Revenue from holding companies (if not within the scope of consolidation) is included in the amount of EUR 39.00 thousand (previous year: EUR 0.00).

Other operating income

Other operating income is broken down as follows:

	01/01/2024 - 06/30/2024 EUR '000	01/01/2023 - 06/30/2023 EUR '000
Ordinary operating income	576.10	385.96
Income from the disposal of and from the appreciation of fixed assets	2,592.19	1,808.67
Income from the reversal of provisions	2.12	16.52
income for other accounting periods	170.89	0.41
Income from currency translation	2.61	0.80
Other operating income	3,343.91	2,212.35

Ordinary operating income includes income from the offsetting of benefits in kind in the amount of EUR 223.64 thousand (previous year: EUR 149.37 thousand).

The income from the disposal of and from the appreciation of fixed assets includes income from the sale of securities by CHAPTERS Group AG in the amount of EUR 2,488.41 thousand (previous year: EUR 1,732.33 thousand), of which EUR 219.47 thousand is attributable to appreciation (previous year: EUR 690.81 thousand).

Depreciation and amortization

Depreciation and amortization is comprised as follows:

	01/01/2024 - 06/30/2024 EUR '000	01/01/2023 - 06/30/2023 EUR '000
Amortization of intangible assets and property, plant, and equipment from purchase price allocation	-1,439.25	-929.77
Amortization of intangible assets at individual company level	-260.77	-185.18
Depreciation of property, plant, and equipment at individual company level	-811.72	-353.82
Amortization of goodwill from consolidation	-6,298.55	-4,154.86
On current assets (to the extent that these exceed the company's usual depreciation)	-0.11	-0.10
Depreciation	-8,810.40	-5,623.73

Other operating expenses

Other operating expenses are comprised of:

	01/01/2024 - 06/30/2024 EUR '000	01/01/2023 - 06/30/2023 EUR '000
Cost of premises	-1,945.66	-1,190.48
Insurance/Contributions	-523.42	-220.91
Vehicle costs	-976.75	-575.42
Advertising and travel costs	-2,042.85	-1,191.49
Repairs and maintenance	-510.21	-353.65
Legal and consulting costs	-1,249.49	-837.41
Costs for bookkeeping and preparation of annual financial statements	-644.96	-196.38
Other operating costs	-3,467.58	-1,893.86
Ordinary operating expenses	-11,360.92	-6,459.60
Expenses from currency translation	-211.31	-234.65
Expenses relating to other periods*	-156.54	-45.82
Losses from the disposal of fixed assets	-2.04	-1,493.25
Losses from impairments, from the disposal of current assets, and additions to the allowance for receivables	-28.46	-0.8
Other operating expenses	-11,759.27	-8,234.12

* Included in other operating costs in the notes to the interim consolidated financial statements as of June 30, 2023.

The losses from the disposal of fixed assets from the previous year's period mainly result from losses from the sale of fixed asset securities at the level of CHAPTERS Group AG.

Results from associated companies

The result from associated companies is comprised of the following:

	01/01/2024 - 06/30/2024 EUR '000	01/01/2023 - 06/30/2023 EUR '000	01/01/2023 - 12/31/2023 EUR '000
Distributions received	0.00	0.00	798.00
Net profit for the year attributable to CHAPTERS Group AG	132.84	696.29	1,036.69
Net loss for the year attributable to CHAPTERS Group AG	-83.21	-655.27	-149.50
Losses in excess of the amortized value	71.92	533.27	114.50
Offset of net profit for the year against losses carried forward from previous years	-72.17	-23.34	-161.72
Amortization of goodwill	-212.96	-277.01	-508.74
Release of passive differences	32.72	32.72	65.45
Total result from associated companies	129.85	306.68	1,194.66

Income from other securities and loans classified as financial assets

The income of EUR 55.83 thousand (previous year: EUR 463.32 thousand) for the first half of 2024 results from interest on loans from CHAPTERS Group AG to companies in which a participation is held. The previous year's period also included EUR 337.66 thousand in interest income on bond investments and EUR 82.02 thousand in dividends on stocks in the securities portfolio of CHAPTERS Group AG, which have since been sold. Compared to the consolidated notes to the 2023 interim consolidated financial statements, the interest income on bond investments and on loans to companies in which a participation is held that has previously been included in interest and similar income has been reclassified to income from securities and loans from financial assets, in line with the 2023 consolidated financial statements.

Other interest and similar income

Other interest and similar income amounting to EUR 548.64 thousand (previous year: EUR 501.56 thousand) mainly results from interest income on the shares in the perpetual bond held by CHAPTERS Group AG as well as from interest income on demand deposits and interest rate hedging transactions. Compared to the notes to the 2023 consolidated interim financial statements, the interest income on bond investments and loans to companies in which a participation is held was reclassified – analogous to the 2023 consolidated financial statements.

Depreciation on financial assets

As in 2023, the write-downs on financial assets in the amount of EUR 750.21 thousand (previous year: EUR 908.29 thousand) are fully attributable to unscheduled write-downs on securities held by CHAPTERS Group AG as the parent company within the scope of its liquidity management.

Interest and similar expenses

The interest and similar expenses amounting to EUR 2,513.21 thousand (previous year: EUR 1,854.18 thousand) consist of the interest expenses for the perpetual bond at the level of CHAPTERS Group AG as the parent company in the amount of EUR 959.26 thousand (previous year: EUR 881.30 thousand).

thousand for the perpetual bond and EUR 8.43 thousand other interest expenses), and the interest expenses at the level of the subsidiaries in the amount of EUR 1,553.95 thousand (previous year: EUR 964.45 thousand). At the level of the subsidiaries, interest expenses are mainly incurred for the acquisition loans taken out by the companies to (re-)finance the acquisition of companies; to a lesser extent, they include interest to minority shareholders.

Taxes on income and earnings

Income taxes are paid at the level of the respective individual companies. Income tax groups regularly exist between the acquisition company and the operating company in which it has a direct stake. There are no other income tax groups, so losses in other group companies are not offset.

Income attributable to other shareholders

Income attributable to other shareholders amounting to EUR 1,431.94 thousand (previous year: EUR 1,198.82 thousand) is reported as a net share of profits and losses. The profit attributable to other shareholders amounts to EUR 1,618.38 thousand and is offset against a share of losses of EUR 3,050.32 thousand.

F. Supplementary report

In the period between June 30, 2024, and the preparation of the interim consolidated financial statements, CHAPTERS Group AG founded another platform, Waterkant Software GmbH, which will invest in software companies primarily in the DACH region. CHAPTERS Group AG holds 80% in the platform. With the acquisition of 100% of the shares in HUP GmbH, based in Braunschweig, the first transaction by Waterkant Software GmbH took place in September 2024. HUP GmbH develops and sells comprehensive software solutions for publishing and media companies.

mlog capital SAS has acquired a stake in two additional companies in France. With the acquisition of 60% of the shares in Equinox Software SAS, a company that offers an ERP for car dealerships on the one hand and a CRM solution with a focus on charities on the other, has become part of the group. In addition, mlog acquired a 90% stake in 3GWIN SAS, which offers a comprehensive cash register software solution that is specifically tailored to the needs of mobile phone dealers.

CHAPTERS Software Switzerland GmbH has acquired 100% of the shares in the Swiss-based Xplain AG and its development partner in Spain, Xplain Ibérica S.L. Xplain specializes in software solutions for judicial, security and migration authorities and has an extensive customer portfolio at all levels of government in Switzerland.

Moreover, CHAPTERS Group AG has increased its share in Ookam Software GmbH from 80% to 100%, so that the share that CHAPTERS Group AG holds in the companies owned by Ookam Software at the time the consolidated financial statements were prepared has increased accordingly.

The investment volume for the aforementioned transactions amounts to a total of EUR 45.40 million, EUR 37.92 million of which was provided through shareholder loans from CHAPTERS Group AG, EUR 4.81 million through seller loans, EUR 0.77 million via shareholder loans from minority shareholders, and EUR 1.9 million in bank financing.

Furthermore, the ENTRO Group, which belongs to NGC Nachfolgekapital GmbH, was spun off in September 2024. The ENTRO Group was founded in June 2022 together with the two managing directors with the goal of building a leading integrated group of companies in the field of technical

services for industrial access, security, and fire protection systems in German-speaking countries. The ENTRO Group will continue to be managed by the managing directors and co-founders and will be supported in its further growth by the NGC Management team. The transaction comprises the 65% of the shares previously held by NGC Nachfolgekapital GmbH in ENTRO Invest GmbH, as well as the two other acquisition companies and five operating companies that were part of the group as of June 30, 2024 (ENTRO Service GmbH, ENTRO Süd GmbH, Wassermann GmbH, Torpado GmbH, Gebr. Kuttner GmbH ITS Industrie Tore Service GmbH, KHT Industriepartner GmbH & Co. KG, and the associated Management GmbH). In the 2024 half-year consolidated financial statements, the companies account for revenue of EUR 9.06 million and an operating EBITDA³ of EUR 0.52 million. In the pro forma figures for the 2023 financial year the companies are included with revenue of EUR 16.5 million and an adjusted EBITDA of EUR 2.67 million. The group's holding costs in the first half of 2024 amounted to EUR 0.26 million, and to EUR 0.80 million for the full year 2023. The loss in the first half of the year (including amortization of goodwill) amounted to EUR 0.98 million, of which EUR 0.53 million is attributable to non-controlling interests at various levels. The Group's bank and seller liabilities total EUR 4.88 million as of June 30, 2024, and also include provisions for the purchase price of EUR 2.25 million and liabilities to minority shareholders of EUR 1.13 million. Goodwill amounts to EUR 10.80 million as of June 30, 2024; there are no intangible assets from purchase price allocation.

In September 2024, FIB Frankfurt International AG Bank, a 100% subsidiary of Global Heart Beteiligungsgesellschaft mbH, in which CHAPTERS Group AG indirectly holds 48.89% of the shares, received authorization as a CRR credit institution. FIB Frankfurt International Bank AG will focus primarily on providing Hermes-covered (government export credit guarantees as part of the foreign trade promotion) export financing with volumes between EUR 0.5 million and EUR 10 million.

In August 2024, CHAPTERS Group AG carried out the capital increase announced in April 2024. By issuing 3,438,322 new shares, the company's share capital increased to EUR 22,986.03 thousand. The shares were placed with institutional investors at a price of EUR 24.70 per share in a private placement. The gross proceeds from the capital increase amounted to EUR 84,926.56 thousand. After the capital increase (taking into account the creation of new authorized capital by the Annual General Meeting in July 2024), the company's authorized capital totals EUR 6,335.53 thousand.

Hamburg, October 11, 2024



.....
Jan-Hendrik Mohr (Chairman)



.....
Marlene Carl

³ No adjustments were made for the first half of 2024.



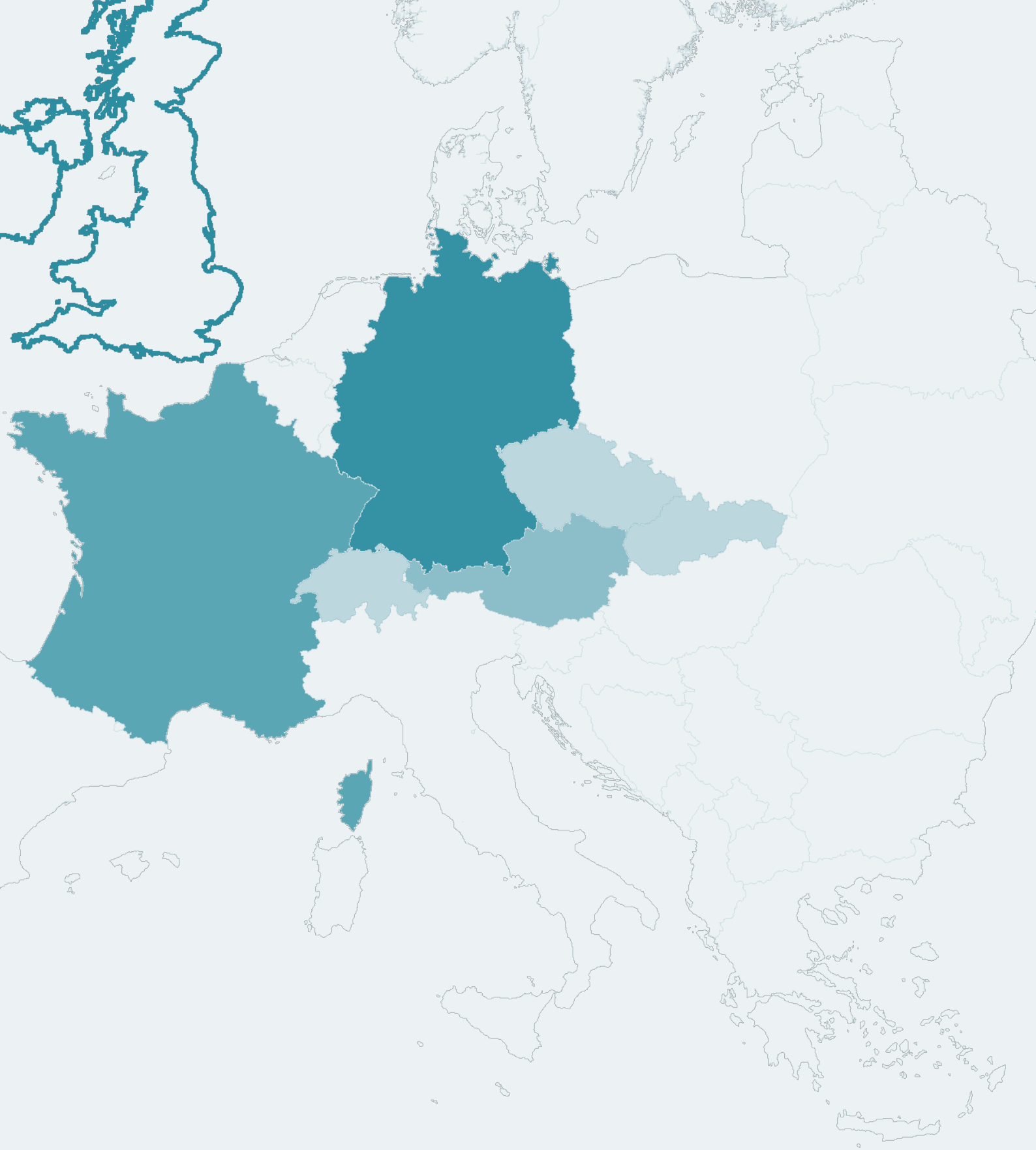
Condensed Interim Financial Statements
CHAPTERS Group AG (Parent Company)
as of
June 30, 2024

CHAPTERS Group AG - Balance sheet as of June 30, 2024

	06/30/24	12/31/23		06/30/24	12/31/23
	Euro million	Euro million		Euro million	Euro million
Fixed Assets	158.11	115.03	Equity	163.64	136.74
Intangible assets	0.04	0.03	Subscribed capital	19.55	18.15
Tangible assets	0.01	0.01	Capital reserve	148.42	125.19
Financial assets	158.06	114.99	Balance sheet loss	-4.33	-6.60
<i>Shares in affiliated companies</i>	<i>37.97</i>	<i>32.82</i>			
<i>Loans to affiliated companies and participations</i>	<i>83.52</i>	<i>67.90</i>			
<i>Participations</i>	<i>19.90</i>	<i>2.54</i>	Provisions	3.28	1.26
<i>Securities</i>	<i>8.35</i>	<i>11.44</i>	Tax provisions	0.12	0.12
<i>Convertible bond shares in own portfolio</i>	<i>8.33</i>	<i>0.00</i>	Other provisions	3.16	1.14
<i>Other loans</i>	<i>0.00</i>	<i>0.29</i>	<i>thereof for share-based compensation</i>	<i>2.77</i>	<i>0.87</i>
Current assets	32.04	45.39	Liabilities	25.21	25.28
Inventories	0.01	0.00	Bond	25.0	25.00
Accounts receivable and other assets	13.91	18.43	Trade accounts payable	0.01	0.17
Cash on hand, balances with banks	18.12	26.95	Other liabilities	0.20	0.11
Deferred income	1.98	2.86			
Total assets	192.13	163.28	Total liabilities	192.13	163.28

CHAPTERS Group AG – Profit and Loss Statement as of June 30, 2024

	01/01/ - 06/30/24	01/01/ - 06/30/23	01/01/ - 12/31/23
	Euro million	Euro million	Euro million
Revenue	0.06	0.00	0.0
Other operating income	2.49	1.74	3.13
Personnel expenses	-2.21	-0.24	-1.38
Depreciation	-0.02	-0.01	-0.03
Other operating expenses	-1.00	-2.16	-3.60
Income from securities and loans classified as financial assets	0.06	0.46	0.69
Other interest and similar income	4.68	2.94	6.42
Depreciation on financial assets and securities held as current assets	-0.75	-0.91	-1.53
Interest and similar expenses	-0.96	-0.89	-1.84
Taxes on income and earnings	-0.06	-0.29	-0.20
Annual loss/profit	2.27	0.65	1.66
Loss carried forward from the previous year	-6.60	-8.26	-8.26
Balance sheet loss	-4.33	-7.61	-6.60



CHAPTERS
GROUP